icdc investment company limited

annual report and financial statements fy05/06

Profit for the period KSh. 607m

2005 KSh. 295m

Dividend for the period KSh. 4.00

2005 KSh. 3.00

10:1 Share split

Throughout this report, a billion = 1,000 million.

ABOUT THIS REPORT

This report presents the annual financial statements of ICDC Investment Company Limited as required by the Companies Act (Cap. 486).

In this report, the words "group" and "ICDCI" are used as general references to ICDC Investment Company Limited and its subsidiary. In similar fashion, "we", "us" and "our" collectively refer to the company and its subsidiary and to the individuals working for these entities. These terms are also applied where specific identification of the company and its subsidiary is not necessary.

The words "associate company", "associate companies" or "associates" refer to corporate entities in which the company controls at least 20% of their shareholding, or where the company has a right to exert significant influence. The words "portfolio companies" or "portfolio investments" refer to entities in which the company has invested, including those where the company has no control and/or significant influence. The words "quoted" and "listed" refer to any investment whose share price, bond price, or price of any other of its issued securities is determined by transactions on the Nairobi Stock Exchange or any other organized securities exchange. The words "unquoted" and "unlisted" refer to any company whose share, bond or other security issue is not listed on any organized securities exchange.

"Investment income" refers to any profit accruing to the company from the dividends, interest, rents or other payments or benefits received by the company from its portfolio investments (excluding associate companies) and any gains realized on the sale of these investments.

Except where shown, the figures shown in the tables in this report are in respect of the company, its subsidiary and associates only.

The financial statements in this report have been prepared in accordance with the International Financial Reporting Standards issued by the International Accounting Standards Board.

Except where otherwise indicated, the values in this report are reported in Kenya Shillings. Any references to "Shillings" or "KSh." and "Cents" are to the Kenyan currency.

All future projections in this report are expressly qualified in their entirety by the use of cautionary words and phrases such as "anticipate", "believe", "could", "estimate", "expect", "intend", "may", "plan", "objectives", "outlook", "probably", "project", "will", "seek", "target", "risks", "goals", "should" and other similar references. Readers should not place undue reliance on future projections. Such statements speak only as of the date of this report. Neither ICDCI, nor its subsidiary, associates or portfolio companies is obliged to publicly update or revise any forecast as a result of new information, new events or other information.

This report contains references to ICDCI's website. These references are for the readers' convenience only. ICDCI is not incorporating by reference any information posted on www.icdci.co.ke.

DOCUMENTS AVAILABLE

Documents concerning ICDCI which are referred to in this report have been filed with the Nairobi Stock Exchange, the Capital Markets Authority and the Registrar of Companies. This report is available in English free of charge at **www.icdci.co.ke** or at the offices of ICDCI at International House, 5th Floor, Mama Ngina Street, Nairobi, KENYA.

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our mission & vision

Our mission is to generate superior returns for our shareholders and contribute to the creation of wealth and employment in the region.

We do this primarily by making strategic investments, and instilling sound management, good corporate governance and best practice in our associate companies.

chairman's message

In the past financial year, shareholders approved a proposal from the Board to increase the share capital of the company by a third, from KSh. 300 million to KSh. 400 million. Given the increasing scale of potential investment deals that the company is coming across, the creation of additional shares will enable the company to raise capital to match the enlarged deal size.

In June 2006, the Board conducted a mid-term review of its corporate strategy. The company is on course to meeting its long-range objectives, and on some measures, has far exceeded our initial expectations. We have identified several challenges to our business and have formulated plans to become more competitive in future as well as the means to inculcate investment savvy, professionalism, deep skills and motivation within the company. We are considering the merits of changing the company's name and corporate identity to avoid being constantly confused with the Industrial and Commercial Development Corporation (ICDC).

The Board is actively promoting formation of strategic and financial partnerships with other investment institutions locally and internationally to exploit business opportunities in this region. We believe we can lend our capital markets knowledge and networks to our partners to help them make successful direct investments here.

The Board is also considering initiatives to improve liquidity and broaden the shareholder base, among them a proposal to subdivide the shares of the company into more affordable units. In the second half of 2006, the value of our share accelerated beyond the reach of most investors, and we feel that it is appropriate to make it more accessible as we set ourselves to raise more funds through the stock exchange.

The Board continues to place emphasis on corporate governance. Recognition of the company in the annual FiRe Awards reinforces our promise of transparency and accountability. We want to continuously align our actions towards creating greater wealth for our shareholders in a responsible manner.

I have been privileged to serve as Chairman of a highly involved Board. I thank the various committees for their diligence. I am confident that we can continue our run of success into the future.

ujumbe wa mwenyekiti

"WE WANT TO CONTINUOUSLY ALIGN OUR ACTIONS TOWARDS CREATING GREATER WEALTH FOR OUR SHAREHOLDERS IN A RESPONSIBLE MANNER"

Mwaka jana wa kifedha, wenyehisa waliidhinisha pendekezo la Bodi kuongeza kiwango cha mtaji wa kampuni kwa thuluthi moja (1/3), kutoka KSh. 300 milioni hadi KSh. 400 milioni. Ikikumbukwa kwamba kuna fursa ya kuongeza mbinu za uwekezaji ambazo kampuni inagundua, kubuniwa kwa hisa zaidi kutasaidia kampuni kupata mtaji unaohitajika kukabiliana na ongezeko la mbinu za uwekezaji.

Mnamo Juni 2006, Bodi ilifanya uchunguzi wa nusu mwaka wa mikakati ya kampuni. Kampuni sasa inaelekea kutimiza malengo yake ya muda mrefu, na katika baadhi ya nyanja, imetimiza na hata kupitisha matarajio yatu. Tumetambua changamoto kadha katika biashara yetu na kubuni mipango ya kuongeza ushindani wetu siku zijazo, pamoja na kuongeza fursa za uwekezaji, utaalamu, ujuzi na motisha miongoni mwa kampuni. Tunajadili faida za kubadilisha jina la kampuni na kitambulisho chetu kwa jamii ili kupunguza mchanganyiko wa majina kati yetu na shirika la serikali la ICDC.

Bodi inashughulika kuimarisha kubuni mbinu na ushirika wa kifedha na taasisi zingine za uwekezaji, nchini na duniani, ili kupanua nafasi za biashara katika eneo hili. Tunaamini tunaweza kuongeza maarifa katika masoko yetu ya kifedha na uhusiano kwa washirika wetu kwa kuwasaidia kuanzisha miradi ya uwekezaji humu nchini.

Bodi pia inajadili njia za kudumisha mtaji na kupanua idadi ya wenyehisa, pendekezo moja likiwa kugawanya zaidi hisa za kampuni ili ziwe katika sehemu za gharama nafuu. Katika nusu ya pili ya mwaka wa 2006, thamani ya hisa zetu imeongezeka na kuwa ghali kwa wawekezaji wetu wengi. Tunaonelea ni heri kupunguza gharama tukijitayarisha kuongeza fedha kupitia soko la hisa.

Bodi inaendelea kusisitiza umuhimu wa usimamizi bora wa kampuni. Ahadi yetu ya kuzingatia uwazi na uwajibikaji imethibitishwa kufuatia kampuni yetu kutambuliwa katika tuzo za kila mwaka za FiRe. Tunakusudia kuendelea kuelekeza shughuli zetu katika kubuni utajiri zaidi kwa wenyehisa wetu katika njia ya hekima.

Nimekuwa na fursa ya kuwa mwenyekiti wa Bodi yenye bidii zaidi. Nashukuru kamati zetu zote kwa bidii zao. Nina imani tutaendelea na mkondo huo wa mafanikio siku zijazo.

James N Muguiyi
Chairman / Mwenyekiti

managing director's report

The past financial year was a good one for our company. We were lean on cost, and our aggressiveness to capture good opportunities from a favorable market paid off in a big way.

Our after-tax profits came in 105% higher than last year (KSh. 607 million versus KSh. 295 million). Investment income rose 68% from KSh. 240 million to KSh. 404 million. Although our dividend and interest earnings were down, we realized increased rentals and capital gains from disposals, as well as an increased share of profits from our associate companies.

During the year under review, we closed a successful deal for a 3.8% stake in K-Rep Bank, Kenya's microfinance leader. We visited K-Rep Bank's operations and key customers and were highly impressed by the economic impact of its business model. We continue to consult with the K-Rep Bank board and management on areas of strategic interest to the bank.

We also embarked on an aggressive business development strategy, and are currently prospecting opportunities in energy, infrastructure, telecommunications and natural resources.

We divested our entire shareholding in Uchumi Supermarkets. Increased competitive pressures in the retail sector had significantly reduced our returns on this investment, and we elected to allocate our capital to other opportunities where we expect returns will be more favorable.

The group adopted fair value reporting standards under IAS 39 for its unquoted investments. Fair value standards draw on market measures of risk and return, and hence provide a more realistic valuation. Net asset valuation was retained for associate companies in accordance with the equity accounting method (IAS 28).

Fair valuation methodology raises the reported value of unquoted investments from KSh. 542 million on net asset value basis to KSh. 1.6 billion. The fair value estimate of associate companies is KSh. 4.2 billion versus KSh. 1.9 billion on net asset value basis. If the portfolio were fully reported on a fair value basis, the reported balance sheet value would increase by 36% from KSh. 6.4 billion to KSh. 8.7 billion.

We are considering a change of our reporting cycle so that our year-end coincides with the calendar of most of our associate companies.

All of us are pleased with the progress we made in the past year. Going forward, we will be attaching greater importance to strategic equity acquisitions both in public and private markets, building deep business networks and strengthening internal skills. We will be setting new benchmarks for growth and achievement in order to realize more value for our shareholders.

ripoti ya mkurugenzi mkuu

"DURING THE YEAR UNDER REVIEW, WE CLOSED A SUCCESSFUL DEAL FOR A 3.8% STAKE IN K-REP BANK. WE VISITED K-REP BANK'S OPERATIONS AND KEY CUSTOMERS AND WERE HIGHLY IMPRESSED BY THE ECONOMIC IMPACT OF ITS BUSINESS MODEL"

Mwaka jana wa kifedha ulikuwa wa manufaa kwa kampuni yetu. Tulidhibiti gharama, na mtindo wetu wa kunasa nafasi bora katika soko lililoimarika ulituinua zaidi.

Faida yetu baada ya ushuru kutolewa ilikuwa asilimia 105 zaidi kuliko mwaka jana (KSh. 607 milioni ikilinganishwa na KSh. 295 milioni). Mapato ya uwekezaji rasilmali yaliongezeka kwa asilimia 68 kutoka KSh. 240 milioni hadi KSh. 404 milioni. Ingawa mapato ya mgao na faida yalipunguka, tulitambua kuwa tulikuwa na ongezeko la mapato kutoka kwa kodi za vyumba na faida kutoka kwa baadhi ya mauzo ya mali zetu, pamoja na ongezeko la kiwango cha faida kutoka kwa kampuni zetu shirika.

Katika mwaka tunaochunguza, tulikamilisha ununuzi wa asilimia 3.8 ya Benki ya K-Rep, ambayo ni benki inayoongoza Kenya katika utoaji wa mikopo midogo. Tulitembelea miradi ya benki hiyo na wateja wake wakuu na kuvutiwa zaidi na athari za uchumi za mtindo wa biashara yake. Tunaendelea kushauriana na bodi na usimamizi wa Benki ya K-Rep, katika mikakati inayovutia benki hiyo.

Vile vile, tumeanzisha mpango thabiti wa maendeleo ya biashara na sasa tunatafuta fursa katika sekta za kawi, uchukuzi, mawasiliano ya simu na rasilmali asili.

Tumeondoa jumla ya hisa zetu katika kampuni ya maduka makubwa ya Uchumi. Ongezeko la ushindani katika sekta ya uuzaji kwa jumla ulikuwa umesababisha kupungua kwa kiwango kikubwa cha mapato yetu katika uwekezaji huo, na tukaamua kuweka fedha zetu katika dhamana ambazo tuna imani zitatuzalishia matunda mema.

Kampuni ilianzisha viwango vipya vya ukadiriaji thamani, kuambatana na mwongozo wa IAS 39 kwa uwekezaji katika kampuni zisizo za umma. Viwango hivyo vya thamani vinategemea vipengele vya kubahatisha na mapato, hivyo, vinatoa ukadiriaji wa hali halisi. Ukadiriaji wa jumla wa mali ulihifadhiwa katika kampuni shirika, kuambatana na mwongozo wa kuhesabu hisa za kawaida (IAS 28).

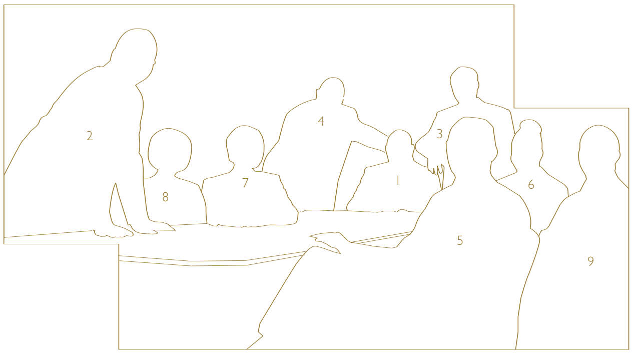
Njia za ukadiriaji uwekezaji zinaongeza thamani ya kampuni zetu zisizo za umma kutoka KSh. 542 milioni kwa jumla ya mali hadi KSh. 1.6 bilioni. Ukadiriaji wa thamani za kampuni shirika ni KSh. 4.2 bilioni kulingana na kulingana na mwongozo wa IAS 39 (KSh. 1.9 bilioni kulingana na IAS 28). Iwapo ripoti zote za ukadiriaji zingetolewa, kuambatana na mwongozo huu mpya, jumla ya mapato yangeripotiwa kuongezeka asilimia 36 kutoka KSh. 6.4 bilioni hadi KSh. 8.7 bilioni.

Tunajadili suala la kubadilisha misimu ya ripoti zetu, ili ziambatane sambamba na kalenda za kampuni zetu tulizowekeza.

Sote tumependezwa na hatua ambazo tulipiga mwaka jana. Kwa kusonga mbele, tutatilia maanani umuhimu wa kuongeza hisa za kawaida katika masoko ya umma na ya kibinafsi, kujenga uhusiano thabiti wa kibiashara na kuimarisha ujuzi katika kampuni. Tutakuwa tukiweka viwango vipya vya ustawi na ufanisi ili kutimiza nyongeza ya thamani kwa wenyehisa wetu.

Peter K Mwangi
Managing Director / Mkurugenzi Mkuu

board of directors



board profile

> ICDCI has a Board of Directors of 9 members, chaired by a Non-Executive Chairman, James Muguiyi. The executive management is led by the Managing Director, Peter Mwangi. The members of the Board meet on a regular schedule to review the company's business and strategy. The Board has three permanent committees: Audit, Investment and Nominations & Governance.

> During the year, Isaac Mogaka replaced Eng. Joseph Munene as the Executive Director of the Industrial and Commercial Development Corporation (ICDC). He sits on the Board as the alternate representing ICDC.

> The Finance Manager, David Owino became the new Company Secretary, replacing Isaac Mogaka.

1. James N Muguiyi **(I) (N)**
   Non - Executive Chairman
- Age 63
- Appointed Non-Executive Director and Chairman of the Board in December 2003
- Managing Director of UAP Provincial Insurance Company, an associate company of ICDCI
- Non-executive director of AMARCO Kenya Limited, Union Insurance Company of Kenya Limited, United Assurance-Uganda , and Aimsoft Kenya limited
- Fellow of the Institute of Certified Public Accountants of Kenya (ICPAK), and an associate member of the Institute of Chartered Management Accountants (CIMA) and the Chartered Institute of Public Finance and Accountancy (CIPFA)

2. Peter K Mwangi **(I)**
   Managing Director
- Age 37
- Appointed Managing Director in December 2004 (served in an acting capacity from August 2004)
- Company Secretary from 2000 to 2004
- Represents ICDCI as an alternate director on the boards of Kisii Bottlers Limited, Mount Kenya Bottlers Limited, Rift Valley Bottlers Limited, Eveready Batteries Limited, KWA Holdings Limited and UAP Provincial Insurance Company Limited
- Member of ICPAK and the Institute of Certified Public Secretaries of Kenya (ICPSK)

3. Christopher J Kirubi **(I) (A)**
   Non-Executive Director
- Age 65
- Appointed Non-Executive Director in December 1997 and served as Chairman of the Board from 1998 to 2003
- Chairman of DHL World Wide Express Limited, Haco Industries Limited, Kiruma International Limited, International House Limited, Nairobi Bottlers Limited, Sandvik East Africa Limited and Capital FM
- Non-executive director of Bayer East Africa Limited, UAP Provincial Insurance Company Limited, Beverage Services of Kenya Limited
- Board member of the Kenya Industrial Research and Development Institute (KIRDI) and the National Social and Economic Council

4. Isaac O Awuondo **(I) (A) (N)**
   Non-Executive Director
- Age 48
- Appointed Non-Executive Director in December 1998
- Chief Executive Officer of Commercial Bank of Africa.
- Previously Finance Director of Standard Chartered Bank and Group Financial Controller of Nation Printers Limited
- Non-executive director of Kenya Hospital Association (Nairobi Hospital), Rhino Ark Trust, Deposit Protection Fund, The Kuona Trust and Bata Shoe Company Limited
- Chairman of the Kenya Conservatoire of Music and of the Fundraising Committee of the African Alliance of YMCAs
- Member of the Institute of Chartered Accountants of England and Wales (ICAEW), ICPAK and the Kenya Institute of Management

5. Isaac B Mogaka **(I) (A) (N)**
   Non-Executive Director
- Age 50
- Appointed alternate director representing the Industrial and Commercial Development Corporation (ICDC) in June 2006
- Company Secretary from 2005 to 2006
- Executive Director of ICDC
- Advocate of the High Court of Kenya
- Associate of the Chartered Institute of Arbitrators (ICA) and member of ICPSK

6. Dr. Katherine W Getao **(N)**
   Non-Executive Director
- Age 46
- Appointed Non-Executive Director in August 2001
- Director of the Institute of Computer Science at the University of Nairobi
- Commonwealth Research Fellow and Vice-Chair of the Institute of Electrical and Electronic Engineers (IEEE), Kenya Section

7. Margaret C Rotich **(A)**
   Non-Executive Director
- Age 50
- Appointed Non-Executive Director in August 2004
- Director of Industry in the Ministry of Trade and Industry, and alternate representing the Permanent Secretary of the Ministry of Trade and Industry
- Previously Managing Director of the Kenya Bureau of Standards (KEBS)
- Non-executive director of East African Portland Cement

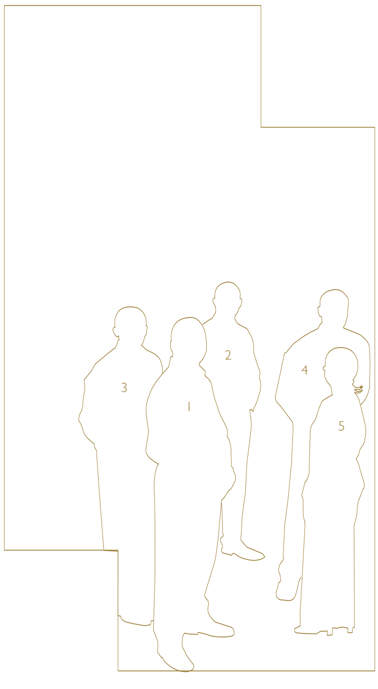
8. Pauline M Muriuki **(I) (A)**
   Non-Executive Director
- Age 46
- Appointed Non-Executive Director in October 2005
- Chief Executive Officer of Smart Applications International (Kenya) Limited
- Previously Marketing Director at Unilever Kenya Limited
- Non-executive director of E-Soft International Limited and Lanepal Limited

9. Henry C Njoroge **(I) (A)**
   Non-Executive Director
- Age 39
- Appointed Non-Executive Director in October 2005
- Chief Executive Officer of UUNet Kenya Limited
- Non-executive director of Open View Limited and Global Equity Ventures
- Board member of the Telecommunications Service Providers Organization of Kenya (TESPOK)

David O Owino
Company Secretary
- Age 32
- Appointed Company Secretary in February 22, 2006
- Finance Manager, ICDCI

(I) Investment Committee
(A) Audit Committee
(N) Nominations & Governance Committee

management team



management profile

> The ICDCI executive management team comprises 5 members, led by the Managing Director, Peter Mwangi. The members of the team oversee investments, business development, risk and financial control, and meet regularly to review the daily operations of the business and to implement the strategic vision of the Board.

> In July 2006, the team lost Michael Sumba, the Risk Manager, who passed on.

1. Peter K Mwangi
   Managing Director
   Mr. Mwangi was appointed the Managing Director in December 2004. Prior to his appointment he served in the company as the Investment Manager and Company Secretary between 2000 and 2004. Before joining ICDCI he worked at Economic Intelligence Limited as a Financial Analyst and served as a Technical Officer with the Kenya Air Force. Mr. Mwangi holds a Bachelor of Science degree in Electrical Engineering from the University of Nairobi. He is a member of the Institute of Certified Public Accountants of Kenya (ICPAK) as well as of the Institute of Certified Public Secretaries of Kenya (ICPSK).

2. David O Owino
   Finance Manager
   Mr. Owino is the Finance Manager and Company Secretary. He is responsible for overall management of the company's finance department and is the Board's legal advisor. Prior to his appointment as Finance Manager he worked as the Research Analyst in the Investment Department and as an Accountant with Total Kenya Limited. Mr. Owino is a member of the ICPAK and ICPSK, and holds a Bachelor of Science degree in Business Administration (Finance and Accounting) from the United States International University – Africa.

3. James M Mworia
   Investment Manager
   Mr. Mworia is the Investment Manager. He is responsible for managing the entire investment portfolio. Prior to his appointment as Investment Manager he worked as the company's Management Accountant. He has earned the CFA Charter and is an Advocate of the High Court of Kenya. He holds a Bachelor of Law degree from the University of Nairobi and a diploma from the Kenya School of Law. He is a member of the Chartered Institute of Management Accountants (CIMA), ICPAK, the Law Society of Kenya (LSK), CFA Institute and CFA Institute of South Africa

4. Andrew W Muriithi
   Business Development Manager
   Mr. Muriithi is the Business Development Manager. He is responsible for the overall management of specific projects related to new and existing investment opportunities and to initiate business development for the company. Prior to his appointment, Mr. Muriithi worked at Standard Chartered Bank as a Graduate Associate and at Alexander Forbes Financial Services as an Actuarial Consultant. He holds an MBA from Cass Business School (UK) and a Bachelor of Science degree from Wharton Business School (USA), and he is a member of the Institute of Directors (IOD).

5. Risper D Alaro
   Financial Accountant
   Ms. Alaro is the Financial Accountant. She is responsible for the company's financial reporting and management accounting function. Ms. Alaro holds a Bachelor of Arts degree in Business Management from Moi University, and a Masters degree in Finance from the United States International University – Africa. She is a member of the Association of Chartered Certified Accountants (ACCA) and ICPAK.

Michael Sumba
July 13, 1967 - July 11, 2006
R.I.P

about us

ICDC Investment Company Limited was incorporated as a public limited company in 1967, and was floated on the Nairobi Stock Exchange the same year.

Our principal business is making equity investments in both public and private companies. We have investments in banking, insurance, carbonated drinks, wines and spirits, automotive assembly, in-flight catering and dry cell manufacturing among others.

Our central strategy is to source capital cheaply and to deploy it profitably in the right investment partnerships.

Financial
We are the second largest shareholder of KCB, Kenya's third largest bank by market capitalization. Our 5.0% ownership is our single largest quoted investment, valued at KSh. 2.0 billion. We own 21.5% of the local subsidiary of AON, one of the world's largest risk and insurance groups. We also own 28.9% of UAP Provincial Insurance Company Limited, a leading Kenyan insurance company.

2005/6 Share of Equity Portfolio: 42%

Automotive
We own 17.8% of the local subsidiary of General Motors Corporation, one of the largest automakers in the world.

2005/6 Share of Equity Portfolio: 15 %

Beverages
We own 26.4% of KWA Holdings Limited, one of the largest wines and spirits companies in Kenya. We control 27.6% of Nairobi Bottlers Limited, the largest Coca Cola bottling franchise in Kenya, as well as significant interests in Rift Valley Bottlers Limited, Mount Kenya Bottlers Limited and Kisii Bottlers Limited, giving us the largest footprint in the local soft drinks industry.

2005/6 Share of Equity Portfolio: 30%

Others
We own a variety of minority investments in listed and unlisted companies specializing in agriculture, industrial production and commercial services, including leading brands such as East African Breweries Limited, Carbacid Investment Company Limited, Kenya Airways and Mumias Sugar Company Limited.

2005/6 Share of Equity Portfolio: 13%

> We believe the core strength of our portfolio lies in its diversity by sector and its industry-leading brands, backed by our professional investment expertise and strict governance standards.

industry overview

The Economy

The Kenyan economy registered 5.8% growth in GDP and is on course to attain similar levels in 2006. Stable fiscal and monetary policies continued to support aggregate demand and most companies registered improved earnings as a result. We saw this effect reflected in the profits of almost all our portfolio companies. The impact of high energy costs on the world markets trickled down to the manufacturing and transport sector, but is expected to have little dampening effect on the country's growth momentum.

Capital Markets

In October 2006, the bull market on the Nairobi Stock Exchange carried the 20-Share Index above the previous record high of 5030 points, registered in February 1994. Over the last financial year, the capital markets have undergone important technological advances. The Central Depository System has been operational for slightly over a year, with no threats or risks to the clearing of securities transactions witnessed so far. In September 2006, the Automated Trading System came online. Trading volumes have risen significantly as a result of improved trading conditions.

Public Issues

Kengen, Scangroup and Equity Bank all placed their shares on the main board for the first time in their history, each registering oversubscription. More IPOs (including Eveready, a portfolio company) and secondary issues are expected in the current financial year.

Private Equity

The Acacia Fund successfully divested from Grain Bulk Handling Limited, a large private grain warehousing and distribution company. The East African Development Bank and private equity fund manager Actis established regional venture capital funds. More private equity deals are expected this year.

> Most companies registered improved earnings, and this was reflected in the profits of almost all our portfolio companies.

our governance cornerstones

> FiRe Awards Recognition 2005

1. Our Board has a majority of non-executive directors. We believe this insulates the Board from undue executive influence.

2. The Chairman of the Board is a non-executive director, who is separate from the Managing Director. We believe the Chairman should devote himself to the running of the Board and the Managing Director should attend to daily business activities.

3. Our Board is organized into three permanent committees, which meet at least four times a year to oversee investments, audit and internal control, and recruitment and governance. We believe our directors' skills should be correctly matched to the core functions of our business.

4. We conscientiously plan for the recruitment, induction, training, retirement and succession of our directors. We believe that nominations and appointments to the Board should be based on a director's relevant qualifications and expertise, understanding

our governance cornerstones

> FiRe Awards Recognition 2006

Recognition of the company in the annual FiRe Awards reinforces our promise of transparency and accountability.

of the company's business and industry, ethical record, commitment to the company, business and professional networks, and current and future workload.

5. Our Board has access to all the legal, accounting, investment and other professional expertise it requires to discharge its duties and responsibilities. We believe this produces the best decisions.

6. We ensure strict adherence to all relevant laws and regulations governing the conduct of our directors and the company's business. We believe in conducting all our activities transparently and at arm's length, and that none of our dealings should be done illegally.

7. All our directors must sign and observe our Board Charter.

board and committee membership

We draw deeply on our experience and skills, knowing that fully expressing alternative viewpoints leads to decisions that are in the best interest of the company.

BOARD COMMITTEE MEMBERSHIP

Name	Classification	Designation	Boards		ICDCI Board Committees		
			ICDCI*	KNP**	Investment Committee	Audit Committee	Nominations & Governance Committee
J N Muguiyi	Non-executive	Chairman	•	•	•		•
P K Mwangi	Executive	Managing Director	•	•	•		
C J Kirubi	Non-executive	Chairman Investment Committee	•	•	•	•	
I O Awuondo	Independent non-executive	Chairman Nominations & Governance Committee	•	•	•	•	•
I B Mogaka	Non-executive	Chairman Audit Committee	•	•	•	•	•
P M Muriuki	Independent non-executive		•	•	•	•	
H C Njoroge	Independent non-executive		•	•	•	•	
K W Getao	Independent non-executive		•	•			•
M C Rotich	Non-executive		•	•		•	

* ICDC Investment Company Limited
** Kenya National Properties Limited
• Active membership

SUMMARY OF BOARD MEETING ATTENDANCE FY 2005/2006

Name	Jul 14, 2005	Jul 28, 2005	Oct 11, 2005	Oct 18, 2005	Dec 19, 2005	Feb 22, 2006
J N Muguiyi (Chairman)	P	P	A	P	P	P
P K Mwangi (Managing)	P	P	P	P	P	P
C J Kirubi	P	A	P	P	P	P
I O Awuondo	A	A	A	A	P	P
J M Munene	P	P	P	P	P	P
K W Getao	A	P	P	P	P	A
M C Rotich	P	P	A	A	A	P
P M Muriuki*					P	P
H C Njoroge*					P	P

P Present
A Absent
* Appointed to the Board on October 18, 2005

risk management and internal control

Our control framework is supported by a set of risk-based standards. These establish rules and instructions on enterprise-wide risks that require common treatment.

We take a risk-based approach to internal control. The management team is responsible for implementing, operating and monitoring the system of internal control, which is designed to provide reasonable, but not absolute, assurance of achieving business objectives. Related requirements are set out in the Corporate Risk Management Manual, which describes the methodology to be followed to manage risks to objectives. Our control framework is supported by a set of risk-based standards; these establish rules and instructions on enterprise-wide risks that require common treatment.

We have a variety of processes for obtaining assurance on the adequacy of risks management and internal control, including:

- A structured process to identify and review risks to the achievement of corporate objectives;
- A risk-based audit of the company's operations and systems;
- A business control incident reporting and provisioning process;
- An ethics and compliance program.

These established mechanisms allow the Board, via its Audit Committee, to regularly consider the overall effectiveness of the internal control system and to perform a full annual review.

Risk Factors

The company's operations and earnings are subject to various risks relating to the changing competitive, economic, political, legal, social, industry, business and financial conditions. These risks to the company's objectives are highlighted below:

- Fluctuating prices on the Nairobi Stock Exchange, and on all organized securities exchanges in which the company owns and trades securities may erode the value of the company's investment holdings.
- Uncertainty in the business performance of the company's subsidiaries, associates and portfolio investments may affect the company's ability to deliver investment income.
- A perceived failure to meet ethical and governance principles regulating the company's conduct and activities may lead to a loss of business reputation, erosion of market confidence and an inability to close investment deals.
- Security breaches resulting from crime, social unrest, civil war and terrorism could harm both our staff and our assets.
- Competitive rivalry within the investment industry and in the sectors in which the company's subsidiaries, associates and portfolio companies operate can significantly reduce the number of investment prospects and the returns from existing investments.
- Natural disasters and other operational hazards could harm our staff and assets.
- Changes in legislation, taxation, regulation and the expropriation of property including matters relating to land tenure, titles, securities, pricing, environmental protection, trade sanctions, cancellation of licenses and agreements, social impact, repatriation of profits, and foreign exchange controls can cause investment losses to the company.
- Currency, interest rate and inflation rate fluctuations can reduce the returns to the company and increase its financing costs.
- Resourcing inefficiencies, specifically lack of qualified investment professionals could lead to a loss of competitive advantage and intellectual edge.
- Information technology failures can lead to transaction failures, loss of business records and potential financial and legal exposures.
- Inability to control or influence the operations, behaviors and performance of our partners and ventures could cause negative publicity, loss of business reputation, diminished investor confidence and investment losses.

corporate social investment

> Little Rock Foundation, Kibera

We believe that profit enables charity, and our investment in Little Rock gives these bright lights a chance for a productive livelihood.

Little Rock Foundation is a center that was established to intervene in the learning, healthcare, nutrition and development of vulnerable orphaned children. The center is located in Olympic Estate, Kibera, with about 135 children aged between 2 and 8 years under the care of 8 teachers and 5 support staff. It is supported mostly by well-wishers and friends.

As part of our corporate social investment, we have been visiting the foundation with a view to giving long-term assistance. This year, we made donations in kind and extended monetary assistance towards the construction of sanitary facilities within the center. Our staff also enjoyed some quality time with the children.

> Little Rock Foundation is a center that was established to intervene in the learning, healthcare, nutrition and development of vulnerable orphaned children in Kibera.

financial report

> General Motors CEO, William (Bill) Lay

"GM's business has recently benefited from the resurgence of the region's PSV sector. We are pleased that ICDCI is on our board to lend their business acumen, and our partnership will continue to bear more rewards."

PART TWO

corporate information

BOARD OF DIRECTORS	J N Muguiyi - Chairman P K Mwangi - Managing C J Kirubi Industrial & Commercial Development Corporation (ICDC) I B Mogaka (Alternate to ICDC) I O Awuondo K W Getao P M Muriuki H C Njoroge The Permanent Secretary, Ministry of Trade and Industry M C Rotich (Alternate to Permanent Secretary, Ministry of Trade and Industry)
COMPANY SECRETARY	D O Owino P O Box 10518 Nairobi 00100 KENYA
REGISTERED OFFICE	International House Mama Ngina Street P O Box 10518 Nairobi 00100 KENYA
AUDITORS	Deloitte & Touche "Kirungii" Ring Road, Westlands P O Box 40092 Nairobi 00100 KENYA
BANKERS	Commercial Bank of Africa Limited P O Box 30437 Nairobi 00100 KENYA Standard Chartered Bank Kenya Limited P O Box 40310 Nairobi 00100 KENYA
LAWYERS	Simba & Simba Advocates P O Box 10312 Nairobi 00100 KENYA Mboya & Wangong'u Advocates P O Box 10818 Nairobi 00400 KENYA

report of the directors • ripoti ya wakurugenzi

This is the report of the directors containing the audited financial statements for the year ended June 30, 2006.

ACTIVITIES

The group's core activity remains to engage in the business of investments.

RESULTS

RESULTS	KSh. '000
Profit before taxation	696,489
Taxation	(89,891)
Net profit after taxation	606,598
Dividends	219,981
Retained profit for the year	386,617

DIVIDEND

The directors recommend the payment of a first and final dividend of KSh. 4.00 per share (2005 – KSh. 3.00 per share). The retained profit for the year of KSh. 387 million is carried to the Group Revenue Reserves.

MEMBERSHIP

The current members of the Board are shown on pages 6 and 7.

I B Mogaka replaced J M Munene as the alternate representing the Industrial and Commercial Development Corporation on June 13, 2006.

In accordance with Article 86 of the Articles of Association, J N Muguiyi and C J Kirubi retire by rotation, and being eligible, offer themselves for re-election.

DIRECTORS' SHAREHOLDING AS AT JUNE 30, 2006

	Name	Number of Shares
1	INDUSTRIAL AND COMMERCIAL DEVELOPMENT CORPORATION (ICDC)	12,930,413
2	JAMES N MUGUIYI	18,563
3	CHRISTOPHER J KIRUBI	12,773,781
4	PETER K MWANGI	12,256
5	ISAAC O AWUONDO	6,068
6	KATHERINE W GETAO	5,024
7	PS, MINISTRY OF TRADE & INDUSTRY	NIL
8	PAULINE M MURIUKI	NIL
9	HENRY C NJOROGE	3,036

SECRETARY

D O Owino, Finance Manager, was appointed as the Company Secretary on February 22, 2006, replacing I B Mogaka.

AUDITORS

Deloitte & Touche, having expressed their willingess, continue in office in accordance with the provisions of Section 159(2) of the Companies Act (Cap. 486).

BY ORDER OF THE BOARD

Hii ni ripoti ya wakurugenzi yenya taarifa iliyokaguliwa ya mwaka wa kifedha uliomalizika Juni 30, 2006.

SHUGHULI

Shughuli kuu za kampuni ni katika biashara ya uwekezaji.

MATOKEO

MATOKEO	Ksh. '000
Faida kabla ya ushuru	696,489
Ushuru	(89,891)
Jumla ya faida baada ya ushuru	606,598
Mgao	219,981
Faida iliyohifadhiwa kwa mwaka	386,617

MGAO

Wakurugenzi walipendekeza malipo ya kwanza na ya mwisho ya mgao wa KSh. 4.00 kwa kila hisa (2005 – KSh. 3.00 kwa kila hisa). Faida iliyohifadhiwa kwa mwaka ilikuwa KSh. 387 milioni imewekwa katika Mapato ya Kampuni Yaliyohifadhiwa.

UANACHAMA

Wanachama wa sasa wa Bodi wameorodheshwa katika kurasa za 6 na 7.

I B Mogaka alichukua nafasi ya J M Munene kama mwakilishi mwingine wa shirika la Industrial and Commercial Development Corporation mnamo Juni 13, 2006.

Kuambatana na Kifungu 86 cha Sheria za Ushirikiano, J N Muguiyi na C J Kirubi watajiuzulu, kwa mzunguko, na kwa kuwa wanatimiza masharti, wameomba, kuchaguliwa tena.

IDADI YA HISA ZA WAKURUGENZI KUFIKIA JUNI 30, 2006

	Jina	Idadi ya Hisa
1	INDUSTRIAL AND COMMERCIAL DEVELOPMENT CORPORATION (ICDC)	12,930,413
2	JAMES N MUGUIYI	18,563
3	CHRISTOPHER J KIRUBI	12,773,781
4	PETER K MWANGI	12,256
5	ISAAC O AWUONDO	6,068
6	KATHERINE W GETAO	5,024
7	PS, MINISTRY OF TRADE & INDUSTRY	BILA
8	PAULINE M MURIUKI	BILA
9	HENRY C NJOROGE	3,036

KATIBU

D O Owino, ambaye ni Meneja wa Fedha, aliteuliwa kuwa Katibu wa Kampuni mnamo Februari 22, 2006, kuchukua nafasi ya I B Mogaka.

WAKAGUZI WA FEDHA

Kampuni ya Deloitte & Touche ilionyesha moyo wa kuendelea kutoa huduma zao, kuambatana na Kifungu 159(2) cha Sheria za Kampuni (Cap. 486).

KWA AMRI YA BODI

David O Owino
Company Secretary/Katibu wa Kampuni
NAIROBI
October 18, 2006

statement of directors' responsibilities

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the profit or loss of the group and company for that year. It also requires the directors to ensure that the group keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and company. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the group will not remain a going concern for at least the next 12 months from the date of this statement.

James N Muguiyi
Chairman

Peter K Mwangi
Managing Director

October 18, 2006

Deloitte.

Deloitte & Touche
Certified Public Accountants (Kenya)
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Nairobi
Kenya

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E-mail : admin@deloitte.co.ke

We have audited the financial statements on pages 22 to 48 for the year ended June 30, 2006 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As described on page 20, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

(a) proper books of account have been kept by the company and the company's balance sheet is in agreement therewith; and

(b) the financial statements give a true and fair view of the state of affairs of the company and the group at June 30, 2006 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.

Deloitte & Touche

October 31, 2006

Audit.Tax.Consulting.Financial Advisory.

A member firm of
Deloitte Touche Tohmatsu

consolidated income statement

for the year ended june 30, 2006

	Notes	2006 KSh.'000	2005 KSh.'000
INCOME	4	403,742	239,786
EXPENSES			
Administrative expenses		(53,952)	(51,880)
Other operating expenses		(65,255)	(28,285)
		(119,207)	(80,165)
OPERATING PROFIT	5	284,535	159,621
FINANCE COSTS	6	(29,502)	(21,241)
PROVISION FOR DIMINUTION IN VALUE OF UNQUOTED INVESTMENT	18	(9,526)	(9,526)
SHARE OF PROFITS OF ASSOCIATED COMPANIES	17	450,982	245,145
PROFIT BEFORE TAXATION		696,489	373,999
TAXATION	8	(89,891)	(78,765)
NET PROFIT FOR THE YEAR	9	606,598	295,234
EARNINGS PER SHARE – Basic & diluted	10	KSh. 11.03	KSh. 5.37
DIVIDENDS PER SHARE	11	KSh. 4.00	KSh. 3.00

consolidated balance sheet

as at june 30, 2006

	Notes	2006 KSh.'000	2005 (Restated) KSh.'000
ASSETS			
Non current assets			
Investment properties	12	-	250,000
Motor vehicle and equipment	13(a)	7,672	15,064
Prepaid operating lease rentals	14	38,264	38,884
Intangible assets	15	-	40
Investment in associates	17	1,906,866	1,596,805
Unquoted investments	18	1,587,688	1,481,976
Quoted investments	19	2,532,281	1,442,340
Government securities	20	-	31,400
		6,072,771	4,856,509
Current assets			
Government securities	20	51,539	20,130
Non current asset held for sale	21	254,718	-
Due from related parties	22(a)	-	94,796
Receivables and prepayments	23	21,362	46,920
Taxation recoverable	8(c)	6,259	1,340
Bank balances		22,635	13,251
		356,513	176,437
Total assets		6,429,284	5,032,946
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	24	274,976	274,976
Share premium		589,753	589,753
Fair value reserve		3,326,029	2,271,093
Revenue reserve		1,997,740	1,391,142
Proposed dividend	11	-	164,986
Shareholders' equity		6,188,498	4,691,950
Non current liabilities			
Deferred tax liability	25	48,604	59,976
Borrowings	27	-	122,222
		48,604	182,198
Current liabilities			
Payables and accruals	26	19,939	14,550
Due to related parties	22(b)	1,727	3,068
Borrowings	27	134,460	110,597
Unclaimed dividends		35,634	29,091
Taxation payable	8(c)	422	1,492
		192,182	158,798
Total equity and liabilities		6,429,284	5,032,946

The financial statements on pages 22 to 48 were approved by the Board of Directors on October 18, 2006 and were signed on its behalf by:

James N Muguiyi
Chairman

Peter K Mwangi
Managing Director

company balance sheet

as at june 30, 2006

	Notes	2006 KSh.'000	2005 (Restated) KSh.'000
ASSETS			
Non current assets			
Investment properties	12	-	20,000
Motor vehicle and equipment	13(a)	7,672	9,756
Prepaid operating lease rental	14	38,264	38,884
Intangible assets	15	-	40
Investment in subsidiary	16	114,735	114,735
Investment in associates	17	402,007	401,413
Unquoted investments	18	1,587,688	1,481,976
Quoted investments	19	2,532,281	1,442,340
Government securities	20	-	31,400
Deferred tax asset	25	6,944	-
		4,689,591	3,540,544
Current assets			
Government securities	20	51,539	20,130
Non-current asset held for sale	21	20,000	-
Due from related parties	22(a)	-	89,625
Receivables and prepayments	23	28,084	59,339
Taxation recoverable	8(c)	6,260	1,340
Bank balances		19,875	12,662
		125,758	183,096
Total assets		4,815,349	3,723,640
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	24	274,976	274,976
Share premium		589,753	589,753
Fair value reserve		2,403,347	1,425,309
Revenue reserve		1,350,984	994,611
Proposed dividend	11	-	164,986
Shareholders' equity		4,619,060	3,449,635
Non-current liabilities			
Deferred tax liability	25	-	4,559
Borrowings	27	-	122,222
		-	126,781
Current liabilities			
Payables and accruals	26	6,070	5,886
Due to related parties	22(b)	20,125	1,650
Borrowings	27	134,460	110,597
Unclaimed dividends		35,634	29,091
		196,289	147,224
Total equity and liabilities		4,815,349	3,723,640

The financial statements on pages 22 to 48 were approved by the Board of Directors on October 18, 2006 and were signed on its behalf by:

James N Muguiyi
Chairman

Peter K Mwangi
Managing Director

consolidated statement of changes in equity

for the year ended june 30, 2006

	Share Capital KSh. '000	Share Premium KSh. '000	Fair Value Reserve KSh. '000	Revenue Reserve KSh. '000	Proposed Dividend KSh. '000	Total KSh. '000
At July 1, 2004	274,976	589,753	705,929	1,260,894	164,986	2,996,538
Prior year adjustment:						
Revaluation surplus on unquoted investments	-	-	669,397	-	-	669,397
At July 1, 2004 – as restated	274,976	589,753	1,375,326	1,260,894	164,986	3,665,935
Fair value gain	-	-	840,951	-	-	840,951
Share of movement in equity	-	-	-	-	-	-
reserves of associates	-	-	104,581	-	-	104,581
Realised on disposal	-	-	(49,765)	-	-	(49,765)
Dividends paid – 2004	-	-	-	-	(164,986)	(164,986)
Net profit for the year	-	-	-	295,234	-	295,234
Proposed dividend – 2005	-	-	-	(164,986)	164,986	-
At June 30, 2005	274,976	589,753	2,271,093	1,391,142	164,986	4,691,950
At July 1, 2005						
As previously stated	274,976	589,753	1,331,353	1,391,142	164,986	3,752,210
Prior year adjustment:						
Revaluation surplus on unquoted investments	-	-	939,740	-	-	939,740
At July 1, 2005 – as restated	274,976	589,753	2,271,093	1,391,142	164,986	4,691,950
Fair value gain	-	-	1,078,175	-	-	1,078,175
Share of movement in equity	-	-	-	-		
reserves of associates	-	-	46,971	-	-	46,971
Realised on disposal	-	-	(70,210)	-	-	(70,210)
Dividends paid – 2005	-	-	-	-	(164,986)	(164,986)
Net profit for the year	-	-	-	606,598	-	606,598
At June 30, 2006	274,976	589,753	3,326,029	1,997,740	-	6,188,498

The prior year adjustment is as a result of a change in the methodology used in the valuation of unquoted investments. These have been valued by application of an earnings multiple to the value of the business being valued. Previously, these investments were valued at the share of net assets in the investee company.

company statement of changes in equity

for the year ended june 30, 2006

	Share Capital KSh.'000	Share Premium KSh.'000	Fair Value Reserve KSh.'000	Revenue Reserve KSh.'000	Proposed Dividend KSh.'000	Total KSh.'000
At July 1, 2004 – as previously reported	274,976	589,753	682,645	1,284,178	164,986	2,996,538
Prior year adjustments:						
Revaluation surplus on unquoted investments	-	-	669,397	-	-	669,397
Write back of revaluation surplus on associates	-	-	(544,245)	(322,987)	-	(867,232)
Write back of revaluation surplus on subsidiary	-	-	(65,894)	-	-	(65,894)
At July 1, 2004 – as restated	274,976	589,753	741,903	961,191	164,986	2,732,809
Fair value gain	-	-	733,171	-	-	733,171
Realised on disposal	-	-	(49,765)	-	-	(49,765)
Net profit for the year	-	-	-	198,406	-	198,406
Dividends paid – 2004	-	-	-	-	(164,986)	(164,986)
Proposed dividend – 2005	-	-	-	(164,986)	164,986	-
At June 30, 2005	274,976	589,753	1,425,309	994,611	164,986	3,449,635
At July 1, 2005 – as previously reported	274,976	589,753	1,308,069	1,414,426	164,986	3,752,210
Prior year adjustments:						
Revaluation surplus on unquoted investments	-	-	939,740	-	-	939,740
Write back of revaluation surplus on associates	-	-	(753,943)	(419,815)	-	(1,173,758)
Write back of revaluation surplus on subsidiary	-	-	(68,557)	-	-	(68,557)
At July 1, 2005 – as restated	274,976	589,753	1,425,309	994,611	164,986	3,449,635
Fair value gain	-	-	1,048,248	-	-	1,048,248
Realised on disposal	-	-	(70,210)	-	-	(70,210)
Dividends paid – 2005	-	-	-	-	(164,986)	(164,986)
Profit for the year	-	-	-	356,373	-	356,373
At June 30, 2006	274,976	589,753	2,403,347	1,350,984	-	4,619,060

The prior year adjustments are as a result of:

- The revision of International Accounting Standard No 27 - Consolidated and Separate Financial Statements, which now requires investment in subsidiaries and associates to be stated at cost in the company's separate financial statements.

- Change in methodology used in valuation of unquoted investments. These have been valued by application of an earnings multiple to the value of the business being valued. Previously, these investments were valued at the share of net assets in the investee company.

consolidated cash flow statement

as at june 30, 2006

	Notes	2006 KSh.'000	2005 (Restated) KSh.'000
OPERATING ACTIVITIES			
Cash generated from operations	28(a)	153,138	69,243
Interest paid		(29,502)	(21,241)
Taxation paid		(13,374)	(6,558)
Dividends received from associated companies		124,531	100,313
Net cash generated from operating activities		234,793	141,757
INVESTING ACTIVITIES			
Purchase of shares in associates		(594)	(3,478)
Purchase of other equity investments		(354,002)	(208,662)
Proceeds on disposal of quoted investments		386,306	81,390
Purchase of equipment		(317)	(2,126)
Proceeds on disposal of equipment		-	70
Net cash generated from/(used in) investing activities		31,393	(132,806)
FINANCING ACTIVITIES			
Dividends paid		(158,443)	(158,642)
Loan received		-	220,000
Loan repaid		(195,555)	(24,445)
Net cash generated from/(used in) financing activities		(353,998)	36,913
(DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		(87,812)	45,864
CASH AND CASH EQUIVALENTS AT JULY 1		(24,013)	(69,877)
CASH AND CASH EQUIVALENTS AT JUNE 30	28(b)	(111,825)	(24,013)

1 ACCOUNTING POLICIES

The consolidated financial statements are prepared in accordance with International Financial Reporting Standards. The principal accounting policies used have been amended as shown below.

Adoption of new and revised International Financial Reporting Standards

In 2005 several new and revised standards became effective for the first time and have been adopted by the group where relevant to its operations. The adoption of these new and revised standards has resulted in changes to the group's accounting policies in the following areas, some of which have affected the amounts reported in the current or prior periods:

- IAS 1 has required management judgements and key sources of estimation and uncertainty at the balance sheet date be disclosed in the financial statements
- IAS 10 has affected the presentation of proposed dividends
- IAS 16 has required the disclosure of comparative figures for movements in property and equipment
- IAS 24 has required the disclosure of the compensation of key management personnel
- IAS 27 has required investment in subsidiaries and associates to be stated at cost in the company's separate financial statements

At the date of authorisation of these financial statements IFRS 6 on Exploration for and Evaluation of Mineral Assets and IFRS 7 on Financial Instruments Disclosures were in issue but not yet effective. The adoption of these Standards, when effective, should have no material impact on the financial statements of the group. IFRS 7 will however affect certain disclosures and presentation in the financial statements.

(a) Basis of preparation

The financial statements are prepared under the historical cost convention, as modified by the revaluation of equity investments and investment properties.

(b) Revenue recognition

Dividend income from investments is recognised when the shareholders' rights to receive payment have been established.

Interest income is accrued on a time basis, by reference to the principal outstanding and the interest rate applicable.

(c) Consolidation

Subsidiary undertakings, being those companies in which the group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the group and are no longer consolidated as from the date of disposal. All inter-company transactions balances and unrealised surpluses and deficits on transactions with the subsidiary company have been eliminated.

The group financial statements reflect the result of the consolidation of the financial statements of the company and its wholly owned subsidiary, and include the group's share of the results of the associated companies.

(d) Investment properties

Investment properties are treated as long-term investments and are carried at market value determined, on a periodic basis, by external independent valuers. Changes in their carrying amounts are dealt with in the income statement. On disposal of an investment property, the difference between the net disposal proceeds and the carrying amount is charged or credited to the income statement.

ACCOUNTING POLICIES (CONTINUED)

(e) Motor vehicle and equipment

Motor vehicle and equipment are stated at cost less depreciation.

Depreciation is calculated to write off the cost of the motor vehicle and equipment in equal annual instalments over their estimated useful lives.

The annual rates in use are:

Motor vehicle and motor cycle	20%
Furniture, fittings and office equipment	10%
Computers	33.3%

(f) Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and are amortised over the period of the lease.

(g) Investment in subsidiary

Investment in the subsidiary is accounted for at cost in the books of the company.

(h) Investments in associated companies

Investments in associated undertakings are accounted for by the equity method of accounting. These are undertakings in which the group has between 20% and 50% of the voting rights and over which the group exercises significant influence but which it does not control.

Equity accounting involves recognising in the income statement the group's share of the results of the associates for the year. The group's interest in the associates is carried in the balance sheet at an amount that reflects its share of the net assets of the associates. Provisions are recorded for long-term impairment in value. A listing of the group's associated undertakings is shown in Note 16.

Investments in associates are accounted for at cost in the books of the company.

(i) Investments

Quoted investments classified as available for sale and are stated at the middle market value as at June 30.

Unquoted investments are classified as available for sale and are stated at fair value. Where a significant amount of new investment into a company has been made within the financial year, the price at which the investment was made is considered the fair value. For all other investments, the earnings multiple method is employed. This method, which draws on market based measures of risk and return, involves the application of an earnings multiple to the earnings of the business being valued in order to derive a value for the business. Where fair value cannot be reliably measured, the unquoted investment is carried at cost.

The difference between valuation and cost is transferred to the fair value reserve. Where valuation is below cost, the difference between valuation and cost is charged to the income statement if, in the opinion of the directors, the reduction in value is not considered temporary. On the disposal of an investment, the difference between the net disposal proceeds and the cost is charged or credited to the income statement.

(j) Government securities

Government securities comprise Treasury bonds, which are debt securities issued by the Government of Kenya. Treasury bonds are held to maturity and are stated at amortised cost.

ACCOUNTING POLICIES (CONTINUED)

(k) Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the assets' previous carrying amount and fair value less costs to sell.

(l) Taxation

Current taxation is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with tax legislation and gazetted tax concessions given to the group.

Deferred income tax is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

A deferred tax asset is recognised to the extent that it is probable that future taxable benefits will be available against which the unused tax credits can be utilised.

(m) Employee entitlements

Employee entitlement to annual leave are recognised when they accrue to employees. An accrual is made for the liability for annual leave accrual but not taken at the balance sheet date.

(n) Retirement benefit obligations

The group operates a defined contribution pension scheme. The assets of the scheme are held in a separate trustee administered fund. The scheme is administered by independent fund managers and is funded from contributions from both the employer and the employees.

The group also contributes to the statutory National Social Security Fund. This is a defined contribution pension scheme registered under the National Social Security Act. The group's obligations under the scheme are limited to specific obligations legislated from time to time and are currently limited to a maximum of KSh. 200 per month per employee.

The group contributions in respect of retirement benefit schemes are charged to the income statement in the year to which they relate.

(o) Computer software development costs

Generally, costs associated with developing computer software programmes are recognised as an expense when incurred. However, costs that are clearly associated with an identifiable and unique product which will be controlled by the company and has a probable benefit exceeding the cost beyond one year, are recognised as an intangible asset.

Expenditure which enhances and extends computer software programmes beyond their original specifications and lives is recognised as a capital improvement and added to the original cost of the software.

Computer software development costs recognized as assets are stated at cost less amortisation. Amortisation is calculated on a straight-line basis over the estimated useful lives not exceeding a period of 3 years.

(p) Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is recognised on a straight-line basis over the terms of the relevant leases.

Rentals payable under operating leases are charged to the income statement on a straight-line basis over the term of the relevant lease.

ACCOUNTING POLICIES (CONTINUED)

(q) Financial instruments

A financial asset or liability is recognised when the company becomes party to the contractual provisions of the instrument.

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans, advances and receivables; held-to-maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Derivatives are also categorised as held for trading

Loans, advances and receivables

Loans advances and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable.

Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale of other than an insignificant amount of held-to-maturity assets occurs, the entire category is classified as available for sale.

Available-for-sale financial assets

Available-for-sale assets are financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans, advances and receivables, or (c) financial assets held to maturity.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans, advances and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the income statement. Dividends on available-for-sale equity instruments are recognised in the income statement when the group's right to receive payment is established.

Fair values of quoted investments in active markets are based on quoted bid prices. Equity securities for which fair values cannot be measured reliably are valued at cost less impairment.

Bank borrowings

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct issue costs. Finance charges including premiums payable on settlement or redemption, are accounted for on an accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period they arise.

Impairment and uncollectability of financial assets

At each balance sheet date, all financial assets are subject to review for impairment.

If it is probable that the group will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables or held-to-maturity investments carried at amortised cost, an impairment or bad debt loss has occurred. The carrying amount of the asset is reduced to its estimated recoverable amount through use of an allowance account. The amount of the loss incurred is dealt with in the income statement for the year.

ACCOUNTING POLICIES (CONTINUED)

(r) Foreign currencies

Assets and liabilities denominated in foreign currency are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year are translated at the rates ruling on the transaction dates. Differences on exchange are dealt with in the income statement.

(s) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise of bank balances and deposits at call with the banks net of bank overdrafts.

(t) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are not accrued for until they have been ratified at the annual general meeting .

(u) Segmental reporting

Segment income includes revenue directly attributable to a segment.

Segment investments comprise those investments that are directly attributable to the segment and can be allocated to the segment on a reasonable basis.

(v) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS IN APPLYING THE ENTITY'S ACCOUNTING POLICIES

In the process of applying the entity's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.
The key areas of judgement in applying the entities accounting policies are dealt with below:

Impairment losses

At each balance sheet date, the company reviews the carrying amounts of its financial assets to determine whether there is any indication that those assets have suffered an impairment loss. A financial asset or a group of financial assets is impaired and impairment losses are incurred if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that the loss event has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs.

Valuation of unquoted investments

For equity instruments for which no active market exists, the group uses the price of a recent investment or the earnings multiple to estimate the fair value of these investments. Management uses estimates based historical data relating to earnings of the investee company and other market-based multiples in arriving at the fair value. The methodology and assumptions used for arriving at the market based multiples are reviewed and compared with other methodologies to ensure there are no material variances.

Held-to-maturity investments

The group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the group evaluates its intention and ability to hold such investments to maturity. If the group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value not amortised cost.

3 SEGMENT INFORMATION

Primary reporting format- Business segments

	Automotive Ksh. ' 000	Beverage Ksh. ' 000	Financial Ksh. ' 000	Agricultural Ksh. ' 000	Industrial & Allied Ksh. ' 000	Services Ksh. ' 000	Retail Ksh. ' 000	Property Ksh.' 000	Government Securities Ksh.' 000	2006 Total Ksh. ' 000	2005 Total KSh.'000
INCOME											
Dividend income											
- unquoted investments	-	3,111	246	-	6,590	27,396	-	-	-	37,343	90,975
- quoted investments	281	20,133	41,113	621	843	3,115	-	-	-	66,106	41,695
	281	23,244	41,359	621	7,433	30,511	-	-	-	103,449	132,670
Rent income	-	-	-	-	-	-	-	25,539	-	25,539	22,446
Interest income	-	-	-	-	-	-	4,932	-	7,007	11,939	21,162
Gain on disposal of investment	(88)	32,246	11,620	20,311	3,710	19,983	171,660	-	-	259,442	54,793
Other investment income	-	1,346	1,435	-	515	-	-	77	-	3,373	8,715
	193	56,836	54,414	20,932	11,658	50,494	176,592	25,616	7,007	403,742	239,786
Share of results of associated companies											
Share of profit	-	261,656	189,041	-	285	-	-	-	-	450,982	245,145
Share of tax	-	(71,499)	(22,306)	-	(73)	-	-	-	-	(93,878)	(69,060)
	-	190,157	166,735	-	212	-	-	-	-	357,104	176,085
INVESTMENTS											
Associates											
Share of net assets	-	1,115,158	784,162	-	7,546	-	-	-	-	1,906,866	1,596,805
Unquoted investments											
Directors' valuation	925,489	117,459	44,324	-	190,256	310,160	-	-	-	1,587,688	1,481,976
Quoted investments											
Market value	-	562,836	1,673,465	67,866	102,732	125,382	-	-	-	2,532,281	1,442,340

Expenditure and assets (other than investments) are not directly attributable and neither can they be allocated to a particular segment. Consequently, these have not been included in the segment information.

Segmental reporting – The major part of the revenues of the company are derived from Kenya with income from other markets representing less than 5% of total income. Secondary segmental reporting is, therefore, not considered to be of any useful value.

		2006 KSh.'000	2005 KSh.'000
4	**INCOME**		
	Dividends receivable	103,449	132,670
	Interest receivable	11,939	21,162
	Rent receivable	25,539	22,446
	Gain on disposal of investments	259,442	54,793
	Other income	3,373	8,715
		403,742	239,786
5	**OPERATING PROFIT**		
	The operating profit is arrived at after charging:		
	Directors' emoluments:		
	Non-executive - fees	1,230	1,230
	- other	2,592	1,920
	Executive remuneration	10,314	11,995
	Auditors' remuneration (including VAT)	1,864	1,558
	Depreciation	2,934	2,963
	Amortisation of leasehold land	620	619
	Amortisation of intangible assets	40	318
	Loss on disposal of equipment	5	-
	Provision for bad and doubtful debts	41,986	2,299
	Staff costs (Note 7)	36,368	30,902
	and after crediting:		
	Dividend income (gross) - quoted investments	(66,106)	(41,695)
	- unquoted investments	(37,343)	(90,975)
	Rent receivable	(25,539)	(22,446)
6	**FINANCE COSTS**		
	Interest on borrowings	29,502	21,241
7	**STAFF COSTS**		
	Salaries	32,988	28,127
	National Social Security Fund contributions (NSSF)	29	24
	Retirement benefit scheme contributions	2,106	1,674
	Staff medical expenses	624	680
	Staff welfare and training expenses	1,205	950
	Leave pay provision	(584)	(553)
		36,368	30,902

8 TAX EXPENSE

	2006 KSh.'000	2005 KSh.'000
(a) Current taxation based on adjusted profit for the year @ 30%	7,196	8,506
Prior year under provision	189	1,719
	7,385	10,225
Deferred tax credit (Note 25)	(11,372)	(520)
	(3,987)	9,705
Share of associated companies' taxation:		
Current taxation based on adjusted profit for the year	66,145	48,589
Prior year overprovision	-	(104)
	66,145	48,485
Deferred tax charge	38,778	20,794
Prior year over provision	(11,045)	(219)
	27,733	20,575
Share of tax of associates (Note 17)	93,878	69,060
	89,891	78,765
(b) Reconciliation of taxation expense to expected tax based on accounting profit;		
Accounting profit before taxation	696,489	373,999
Tax at the applicable rate of 30%	208,947	112,200
Tax effect of dividend income not taxable	(67,040)	(65,761)
Tax effect of income not taxable	(77,833)	(44,901)
Tax effect of expenses not deductible for tax purposes	37,673	75,831
Adjustment in respect of prior year (net)	(11,856)	1,396
	89,891	78,765
(c) Taxation recoverable		
At beginning of the year:		
Payable	1,492	189
Recoverable	(1,340)	(3,704)
	152	(3,515)
Charge for the year	7,385	10,225
Payments during the year	(13,374)	(6,558)
	(5,837)	152
Comprising:		
Payable	422	1,492
Recoverable	(6,259)	(1,340)
	(5,837)	152

9 NET PROFIT FOR THE YEAR

A profit after taxation of KSh. 356,373,000 (2005 – KSh. 198,406,000) has been dealt with in the books of ICDC Investment Company Limited.

10 EARNINGS PER SHARE

Earnings per share is calculated by dividing the net profit attributable to shareholders by the number of ordinary shares in issue during the year. They were no potentially diluted shares at June 30, 2006 (2005 – nil).

	2006	2005
Earnings (KSh.)	606,598,000	295,234,000
Number of shares in issue	54,995,183	54,995,183
Earnings per share (KSh.)		
- Basic	11.03	5.37
- Diluted	11.03	5.37

11 PROPOSED DIVIDEND

At the annual general meeting, a dividend in respect of 2006 of KSh. 4.00 per share (2005 – KSh. 3.00 per share) amounting to a total of KSh. 219,981,000 (2005 – KSh. 164,986,000) will be proposed.

Payment of dividends is subject to withholding tax at a rate of 10% for non-resident shareholders and 5% for resident shareholders.

12 INVESTMENT PROPERTIES

	GROUP		COMPANY	
	2006 KSh.'000	2005 KSh.'000	2006 KSh.'000	2005 KSh.'000
At July 1 and June 30	250,000	250,000	20,000	20,000
Transfer to non-current assets held for sale	(250,000)	-	(20,000)	-
At June 30	-	250,000	-	20,000

The group is in the process of disposing its investment properties. Subsequently, these have been reclassified to non-current assets held for sale as shown on Note 21.

13 MOTOR VEHICLE AND EQUIPMENT

(a) GROUP

	Motor Vehicle and Motorcycle KSh.'000	Furniture and Fittings KSh.'000	Computers KSh.'000	Equipment KSh.'000	Total KSh.'000
COST					
At July1, 2004	5,881	4,688	2,951	7,429	20,949
Additions	-	1,337	542	247	2,126
Disposals	-	(20)	(1,040)	-	(1,060)
At June 30, 2005	5,881	6,005	2,453	7,676	22,015
At July 1, 2005	5,881	6,005	2,453	7,676	22,015
Additions	-	69	248	-	317
Transfer to non-current assets held for sale	-	-	-	(5,898)	(5,898)
Disposals	-	(43)	-	(63)	(106)
At June 30, 2006	5,881	6,031	2,701	1,715	16,328
DEPRECIATION					
At July 1, 2004	490	1,747	2,302	499	5,038
Charge for the year	1,176	543	495	749	2,963
Eliminated on disposals	-	(10)	(1,040)	-	(1,050)
At June 30, 2005	1,666	2,280	1,757	1,248	6,951
At July 1, 2005	1,666	2,280	1,757	1,248	6,951
Charge for the year	1,176	605	391	762	2,934
Transfer to non-current assets held for sale	-	-	-	(1,180)	(1,180)
Eliminated on disposals	-	(28)	-	(21)	(49)
At June 30, 2006	2,842	2,857	2,148	809	8,656
NET BOOK VALUE					
At June 30, 2006	3,039	3,174	553	906	7,672
At June 30, 2005	4,215	3,725	696	6,428	15,064

13 MOTOR VEHICLE AND EQUIPMENT

(b) COMPANY

	Motor Vehicle and Motorcycle KSh. '000	Furniture and Fittings KSh. '000	Computers KSh. '000	Office Equipment KSh. '000	Total KSh. '000
COST					
At July 1, 2004	5,881	4,688	2,951	1,531	15,051
Additions	-	1,337	542	247	2,126
Disposals	-	(20)	(1,040)	-	(1,060)
At June 30, 2005	5,881	6,005	2,453	1,778	16,117
At July 1, 2005	5,881	6,005	2,453	1,778	16,117
Additions	-	69	248	-	317
Disposals	-	(43)	-	(63)	(106)
At June 30, 2006	5,881	6,031	2,701	1,715	16,328
DEPRECIATION					
At July 1, 2004	490	1,747	2,302	499	5,038
Charge for the year	1,176	543	495	159	2,373
Eliminated on disposals	-	(10)	(1,040)	-	(1,050)
At June 30, 2005	1,666	2,280	1,757	658	6,361
At July 1, 2005	1,666	2,280	1,757	658	6,361
Charge for the year	1,176	605	391	172	2,344
Eliminated on disposals	-	(28)	-	(21)	(49)
At June 30, 2006	2,842	2,857	2,148	809	8,656
NET BOOK VALUE					
At June 30, 2006	3,039	3,174	553	906	7,672
At June 30, 2005	4,215	3,725	696	1,120	9,756

14 PREPAID OPERATING LEASE RENTALS

	2006 KSh.'000	2005 KSh.'000
GROUP AND COMPANY		
COST		
At July 1 and June 30	59,487	59,487
AMORTISATION		
At July 1	20,603	19,984
Charge for the year	620	619
At June 30	21,223	20,603
CARRYING VALUE		
At June 30	38,264	38,884

15 INTANGIBLE ASSETS

	Computer Software 2006 KSh.'000	Computer Software 2005 KSh.'000
GROUP AND COMPANY		
COST		
At July 1 and June 30	2,631	2,631
AMORTISATION		
At July 1	2,591	2,273
Charge for the year	40	318
At June 30	2,631	2,591
NET BOOK VALUE		
At June 30	-	40

16 INVESTMENT IN SUBSIDIARY (UNQUOTED AT COST)

	COMPANY	
	2006 KSh.'000	2005 KSh.'000
Kenya National Properties Limited 100% owned	114,735	114,735

The principal activities of the subsidiary company are the ownership and development of property for rental purposes.

17 INVESTMENT IN ASSOCIATES

	GROUP 2006 KSh.'000	GROUP 2005 KSh.'000
At July 1	1,596,805	1,381,319
Share of results before tax	450,982	245,145
Share of tax (Note 8)	(93,878)	(69,060)
	357,104	176,085
Share of movements in equity reserves	46,971	104,581
Dividends received	(102,019)	(71,000)
Acquisitions during the year	8,005	5,820
At June 30	1,906,866	1,596,805

	Number of Shares Held		% Owned	% Owned	GROUP Share of Net Assets		COMPANY At Cost	
	30.6.06	30.6.05	30.6.06	30.6.05	30.6.06 KSh.'000	30.6.05 KSh.'000	30.6.06 KSh.'000	30.6.05 KSh.'000
UNQUOTED								
Aon Minet Insurance Brokers Ltd*	332,330	332,330	21.50	21.50	97,135	87,252	12,298	12,298
KWA Holdings Ltd**	25,373,936	25,373,936	26.43	26.43	227,059	225,321	17,235	17,235
Mather & Platt (Kenya) Ltd**	220,278	220,278	29.77	35.40	7,546	7,676	7,118	7,118
Mt Kenya Bottlers Ltd**	1,250,695	1,250,695	28.51	28.51	168,580	165,643	10,006	10,006
Nairobi Bottlers Ltd*	981,971	981,971	27.62	27.62	510,080	498,997	133,020	133,020
Rift Valley Bottlers Ltd**	2,695,820	2,695,820	46.79	46.79	209,440	186,434	63,815	63,815
UAP Provincial Insurance Co Ltd *	14,440,682	12,018,011	28.88	24.04	687,026	425,482	158,515	157,921
					1,906,866	1,596,805	402,007	401,413
QUOTED								
Uchumi Supermarkets Ltd***	-	14,993,317	-	24.99	-	-	-	-
					1,906,866	1,596,805	402,007	401,413

The share of the results and net assets of the associates to June 30, 2005 were based on signed accounts to December 31, 2005 (*) and draft accounts to June 30, 2006 (**). Due to accumulated losses, a 100% impairment loss was recognised on the investment in Uchumi Supermarkets Limited in 2005. Consequently, the investment was written down to nil. The shareholding in Uchumi Supermarkets Limited was disposed of in 2006.

18 UNQUOTED INVESTMENTS

GROUP AND COMPANY	Number of Shares at 01.7.05	Additions/ (Disposals) in the Year	Number of Shares at 30.6.06	% Owned	Cost at 1.7.05 KSh.'000	Additions (Disposals)/ in the Year KSh.'000	Cost at 30.6.06 KSh.'000	Valuation 30.6.06 KSh.'000	Valuation 30.6.05 KSh.'000
Capital Markets Challenge Fund Ltd*	50,000	-	50,000	10.00	5,000	-	5,000	5,000	5,000
Dawa Pharmaceuticals Ltd	250,000	-	250,000	12.72	5,000	-	5,000	-	-
Eveready Batteries (Kenya) Ltd**	21,259	-	21,259	10.12	4,030	-	4,030	190,256	190,256
General Motors Kenya Ltd***	279,300	-	279,300	17.82	184,536	-	184,536	925,489	880,949
Heritage Woollen Mills (K) Ltd	72,249	-	72,249	9.56	6,387	-	6,387	-	-
Kisii Bottlers Ltd***	777,774	-	777,774	16.34	9,222	-	9,222	117,459	88,750
NAS Airport Services Ltd***	73,056	-	73,056	9.13	7,397	-	7,397	310,160	307,495
K-Rep Bank Limited**	-	37,801	37,801	3.78	-	39,324	39,324	39,324	-
Total					221,572	39,324	260,896	1,587,688	1,472,450
OFFSHORE INVESTMENTS									
Wildlife Works Inc (USA) preferred stock - net	52,632	-	52,632	-	19,713	-	19,713	-	9,526
Total					241,285	39,324	280,609	1,587,688	1,481,976

The fair value of unquoted investments has been determined using the price of a recent investment (**) or the earnings multiple method (***). Where fair value could not be reliably measured, the investment is carried at cost (*).

A provision of 100% for impairment has been recognised with respect to the investment in Wildlife Works Inc. (USA). The amount of provision charged to the income statement was KSh. 9,526,000 (2005 – KSh. 9,526,000).

19 QUOTED INVESTMENTS

GROUP & COMPANY	At 01.7.05 Units	Additions Units	Disposals Units	At 30.6.06 Units	At 01.7.05 Cost KSh.'000'	Additions KSh.'000'	Disposals KSh.'000'	At 30.6.06 Cost KSh.'000'	Valuation At 01.7.06 KSh.'000'	Valuation At 30.6.05 KSh.'000'
Athi River Mining Ltd	6,500	-	-	6,500	130	-	-	130	436	156
Barclays Bank Of Kenya Ltd	15,805	-	-	15,805	1,580	-	-	1,580	4,267	3,983
Bamburi Cement Ltd	35,000	-	-	35,000	1,593	-	-	1,593	5,110	4,200
British American Tobacco Kenya Ltd	-	8,000	-	8,000	-	1,638	-	1,638	1,520	-
Unilever Tea Kenya Ltd	28,827	-	-	28,827	5,428	-	-	5,428	2,306	3,373
Carbacid Investment Co Ltd	92,059	-	-	92,059	3,291	-	-	3,291	12,612	11,507
Crown Berger Kenya Ltd	500	-	-	500	14	-	-	14	18	15
CMC Holdings Ltd	-	193,435	-	193,435	-	9,972	-	9,972	13,540	-
East African Cables Ltd	45,000	-	-	45,000	154	-	-	154	12,150	6,525
East African Breweries Ltd	3,954,032	395,106	(299,955)	4,049,183	49,849	61,935	(7,666)	104,118	562,836	589,151
East African Portland Cement Ltd	10,000	-	(10,000)	-	587	-	(587)	-	-	970
Sameer EA Ltd	420,000	-	(420,000)	-	5,446	-	(5,446)	-	-	7,560
Williamson Tea Kenya Ltd	4,675	-	-	4,675	1,308	-	-	1,308	330	678
Housing Finance Kenya Ltd	122,291	-	-	122,291	1,625	-	-	1,625	3,394	1,553
Jubilee Insurance Company Ltd	-	37,232	-	37,232	-	3,684	-	3,684	4,654	-
Kenya Power & Lighting Ltd	137,126	135,457	-	272,583	11,367	20,138	-	31,505	46,067	15,221
Unga Group Ltd	52,787	-	(52,787)	-	899	-	(899)	-	-	1,024
Kenya Commercial Bank Ltd	10,224,350	42,124	(198,900)	10,067,574	431,562	6,736	(8,395)	429,903	1,661,150	710,592
Kenya Airways Ltd	590,427	952,649	(615,700)	927,376	24,463	101,192	(29,037)	96,618	107,576	34,540
Kenya Electricity Generating Co Ltd	-	141,992	-	141,992	-	5,182	-	5,182	5,573	-
Kenya Oil Company Ltd	-	23,000	-	23,000	-	3,080	-	3,080	2,898	-
Mumias Sugar Company Ltd	955,634	997,614	(955,637)	997,611	12,707	40,631	(12,708)	40,630	61,852	23,174
Nation Media Group	87,714	-	-	87,714	2,900	-	-	2,900	17,806	17,455
REA Vipingo Plantations Ltd	96,959	-	(96,959)	-	1,638	-	(1,638)	-	-	1,910
Sasini Tea & Coffee Ltd	123,974	-	-	123,974	503	-	-	503	3,378	4,246
	-	-	-	-	557,044	254,188	66,376	744,856	2,529,473	1,437,833
REGIONAL INVESTMENTS										
British American Tobacco Uganda Ltd	140,000	-	-	140,000	7,000	-	-	7,000	2,808	4,507
TOTAL INVESTMENTS					564,044	254,188	66,376	751,856	2,532,281	1,442,340

Quoted investments with a market value of KSh. 900,112,170 (2005 – KSh. 627,648,828) have been pledged as security to secure banking facilities granted to the group (see Note 27).

	GROUP		COMPANY	
	2006 KSh.'000	2005 KSh.'000	2006 KSh.'000	2005 KSh.'000
20 GOVERNMENT SECURITIES				
Held to maturity:				
Treasury bonds – at amortised cost				
- maturing within one year	51,539	20,130	51,539	20,130
- maturing after one year but within five years	-	31,400	-	31,400
	51,539	51,530	51,539	51,530

The weighted average effective interest rate on Treasury bonds at June 30, 2006 was 12.15% (2005 – 13.8%).
A lien has been placed on Treasury bonds worth KSh. 20 million in favour of Commercial Bank of Africa for advancing credit facilities to the group.

21 NON CURRENT ASSETS HELD FOR SALE

	GROUP KSh.'000	COMPANY KSh.'000
At June 1, 2005	-	-
Transfer from investment properties (Note 12)	250,000	20,000
Transfer from motor vehicle and equipment (Note 13)	4,718	-
At June 30, 2006	254,718	20,000

During the year, the directors resolved to dispose of the group's investment properties. Negotiations with several interested parties have subsequently taken place and firm commitments for the sale of the properties have been entered into after year end. It is expected that these properties will be sold within twelve months. The proceeds on disposal are expected to exceed the net carrying amount of the assets and, accordingly, no impairment loss has been recognised on the re-classification of these assets as held for sale.

	GROUP		COMPANY	
	2006 KSh.'000	2005 KSh.'000	2006 KSh.'000	2005 KSh.'000
22 RELATED PARTY BALANCES				
a) Due from related parties				
Uchumi Supermarkets Ltd	-	94,796	-	89,625
b) Due to related parties				
Industrial and Commercial Development Corporation (ICDC)	1,727	1,728	119	-
Kenya National Properties Ltd (KNP)	-	-	20,006	310
Funguo Registrars Ltd	-	1,340	-	1,340
	1,727	3,068	20,125	1,650

The movement in the balance due from Uchumi Supermarkets Limited during the year is as follows:

	GROUP KSh.'000	COMPANY KSh.'000
Amount outstanding at July 1	94,796	89,625
Less amount converted into equity shares	(37,013)	(31,831)
Payments received in the year	(17,783)	(17,794)
Outstanding amount	40,000	40,000
Less provision for unrecoverable amount	(40,000)	(40,000)
Net amount as at June 30	-	-

23 RECEIVABLES AND PREPAYMENTS

	GROUP 2006 KSh.'000	GROUP 2005 KSh.'000	COMPANY 2006 KSh.'000	COMPANY 2005 KSh.'000
Dividends receivable	7,070	33,912	24,190	55,546
Sundry receivables and prepayments	4,441	3,833	2,970	2,953
Rental debtors	-	2,450	900	589
Recoverable expenses (service charges)	9,851	6,725	24	251
	21,362	46,920	28,084	59,339

24 SHARE CAPITAL

	2006 KSh.'000	2005 KSh.'000
GROUP AND COMPANY		
Authorised:		
80,000,000 ordinary shares of KSh. 5.00 each		
(2005 – 60,000,000 ordinary shares of KSh. 5.00 each)	400,000	300,000
Issued and fully paid:		
54,995,183 ordinary shares of KSh. 5.00 each	274,976	274,976

25 DEFERRED TAX LIABILITY

Deferred income taxes are calculated on all temporary differences under the liability method using the currently enacted tax rate of 30%.

The net deferred tax liability is attributable to the following items:

	GROUP 2006 KSh.'000	GROUP 2005 KSh.'000	COMPANY 2006 KSh.'000	COMPANY 2005 KSh.'000
Deferred tax liabilities:				
Accelerated capital allowances	1,462	831	500	-
Revaluation surplus	60,370	60,370	5,784	5,784
	61,832	61,201	6,284	5,784
Deferred tax assets:				
Excess of depreciation over capital allowances	-	(35)	-	(35)
Leave pay provision	(368)	(543)	(368)	(543)
Tax losses	(739)	(647)	(739)	(647)
Provision for bad debts	(12,121)	-	(12,121)	-
	(13,228)	(1,225)	(13,228)	(1,225)
Net deferred tax liability	48,604	59,976	(6,944)	4,559
The movement on the deferred tax account is as follows:				
At July 1	59,976	60,496	4,559	5,477
Income statement credit – Note 8(a)	(11,372)	(520)	(11,503)	(918)
At June 30	48,604	59,976	(6,944)	4,559

	GROUP		COMPANY	
	2006 KSh.'000	2005 KSh.'000	2006 KSh.'000	2005 KSh.'000
26 PAYABLES AND ACCRUALS				
Rent deposits	9,136	6,985	439	464
Sundry payables and accruals	9,575	5,754	4,403	3,611
Leave pay provision	1,228	1,811	1,228	1,811
	19,939	14,550	6,070	5,886
27 BORROWINGS				
Bank overdraft	64,460	37,264	64,460	37,264
Short-term loans	70,000	-	70,000	-
Long-term loans	-	195,555	-	195,555
	134,460	232,819	134,460	232,819
Analysis of borrowings by maturity				
Bank overdraft	64,460	37,264	64,460	37,264
Short-term loans	70,000	-	70,000	-
Current portion of long-term loans	-	73,333	-	73,333
	134,460	110,597	134,460	110,597
Due for settlement after 1 year:				
Long-term loan	-	122,222	-	122,222
	134,460	232,819	134,4602	32,819

The group has undrawn committed borrowing facilities amounting to KSh. 65,540,400 (2005 – KSh. 100,000,000).

The overdraft, term loans and other facilities are secured by:

- 3,201,784 shares in Kenya Commercial Bank Limited;
- 2,576,400 shares in East African Breweries Limited;
- 15,805 shares in Barclays Bank Limited;
- 35,000 shares in Bamburi Cement Limited;
- 65,620 shares in Nation Media Group; and
- A KSh. 20 million Treasury bond.

The market value of the shares held as security at June 30, 2006 was KSh. 909,112,170.

The maturity period of the short-term loans was 30 days.

The effective interest rates on borrowings at June 30, 2006 were:

	2006	2005
Bank overdrafts	7.97%	9.5%
Short-term loans	7.84%	-
Term loan	-	12.73%

28 NOTES TO THE CASH FLOW STATEMENT

	2006 KSh.'000	2005 KSh.'000
(a) Reconciliation of operating profit to cash generated from operations:		
Operating profit	284,535	159,621
Adjustments for:		
Depreciation	2,934	2,963
Amortisation of intangible assets	40	318
Amortisation of leasehold land	620	619
Loss/(gain) on disposal of equipment	58	(60)
Gain on disposal of quoted investments	(259,442)	(54,793)
Operating profit before working capital changes:	28,745	108,668
(Increase)/decrease in Treasury bonds	(9)	78,452
Movement in related party balances	93,455	(90,061)
Decrease/(increase) in receivables and prepayments	25,558	(30,001)
Increase in payables and accruals	5,389	2,185
Cash generated from operations	153,138	69,243
(b) Analysis of balances of cash and cash equivalents:		
Bank balances	22,635	13,251
Overdrafts	(64,460)	(37,264)
Short-term borrowings	(70,000)	-
	(111,825)	(24,013)

For the purposes of the cash flow statement, cash equivalents include borrowings and short-term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity at the balance sheet date.

29 CAPITAL COMMITMENTS

	2006 KSh.'000	2005 KSh.'000
GROUP & COMPANY		
Authorised but not contracted for	1,132	655
Authorised and contracted for	1,256	730

30 RELATED PARTIES

The group transacts with companies related to it by virtue of common shareholding and also by virtue of common directors. These transactions are at arm's length and in the normal course of business. Amounts not settled as at balance sheet date are disclosed in Note 22.

During the year the following transactions were entered into with the related parties:

	2006 KSh.'000	2005 KSh.'000
Income received		
Rent and service charge received	-	2,822
Interest charged on loans advanced to related parties	4,932	7,135
Purchase of goods/services		
Rent and service charge paid	1,155	2,505
Share registration services	2,209	2,506
The remuneration of executive directors and other key management during the period is as follows:		
Income received		
Salaries and other benefits	25,401	22,250
Fees as directors	474	390
	25,875	22,640

31 OPERATING LEASE ARRANGEMENTS

The group as a lessor:

Property rental income earned during the year was KSh. 25,668,000 (2005 – KSh. 22,463,000). At the balance sheet date, the group had contracted with tenants for the following future lease receivables:

	2006 KSh.'000	2005 KSh.'000
Within one year	-	17,602
In the second to fifth years inclusive	-	57,515
After five years	-	4,805
	-	79,922

Leases are negotiated for an average term of six years and rentals are reviewed annually. The leases are cancellable with no penalty when the tenants give three months' notice to vacate the premises. In the current year, the directors resolved to dispose the group's rental property.

The group as a lessee:

At the balance sheet date, the company had outstanding commitments under operating leases, which fall due as follows:

	2006 KSh.'000	2005 KSh.'000
Within one year	-	1,538
In the second to fifth year inclusive	-	331
	-	1,869

Operating lease payments represent rentals payable by the group for its office premises. Leases are negotiated for an average term of 5 years. The group's leases are currently under negotiation.

32 COUNTRY OF INCORPORATION

The company is incorporated and domiciled in Kenya under the Companies Act (Cap. 486).

33 CURRENCY

The financial statements are presented in thousands of Kenya Shillings (KSh.'000).

shareholder information

> KWAL Managing Director, Gerald Makau Masila

"At KWAL, we know it takes an experienced mind to make the best business decisions, and that is what we get from ICDCI."

PART THREE

notice of the agm • ilani ya mkutano mkuu

NOTICE IS HEREBY GIVEN that the 39th Annual General Meeting of the Company will be held on Friday, January 12, 2007 at the Safari Park Hotel, Nairobi at 11:00am for the following purposes:

ORDINARY BUSINESS

1. The Secretary to read the notice convening the meeting.
2. To confirm the minutes of the 38th Annual General Meeting held on Monday, December 19, 2005.
3. To receive and consider the audited financial statements for the financial year ended June 30, 2006 together with the Directors' and Auditors' report thereon.
4. To declare a First and Final Dividend of KSh. 4.00 per share in respect of the year ended June 30, 2006.
5. To approve the Directors' remuneration for the year ended June 30, 2006.
6. (a) To re-elect J N Muguiyi, a director retiring by rotation, who being eligible, offers himself for re-election.

   (b) To re-elect C J Kirubi, a director retiring by rotation, who being eligible, offers himself for re-election.
7. To note that Deloitte & Touché, having expressed their willingness, continue in office in accordance with the provisions of Section 159(2) of the Companies Act (Cap. 486) and to authorize the Directors to fix their remuneration.

SPECIAL BUSINESS

8. To consider and if thought fit, pass the following resolution as an ordinary resolution:

   "That in accordance with Article 49(b) of the Company Articles of Association, and subject to the approval of the Capital Market Authority, the ordinary share capital of the company be and hereby is divided from 80,000,000 shares of Five Shillings (KSh. 5.00) each into 800,000,000 shares of Fifty Cents (KSh. 0.50) each, with all the shares so divided ranking equally in all respects, and to amend the Memorandum of Association of the Company to this effect."

ANY OTHER BUSINESS

9. To transact any other business, which may be transacted at an Annual General Meeting.

PLEASE NOTE:

A member entitled to attend and vote at this meeting is entitled to appoint a proxy who need not be a member of the company.

BY ORDER OF THE BOARD

ILANI INATOLEWA KWAMBA Mkutano Mkuu wa 39 wa Kila Mwaka wa Kampuni utafanyika Ijumaa, Januari 12, 2007, katika Hoteli ya Safari Park, Nairobi, kuanzia saa tano asubuhi (11:00am) kujadili hoja zifuatazo:

SHUGHULI ZA KAWAIDA

1. Katibu kusoma ilani ya kuandaa mkutano.
2. Kuthibitisha kumbukumbu za Mkutano Mkuu wa 38, uliofanyika Jumatatu, Desemba 19, 2005.
3. Kupokea na kuchunguza taarifa za fedha zilizokaguliwa za mwaka uliomalizika Juni 30, 2006, pamoja na Ripoti za Wakurugenzi na Wakaguzi wa Fedha.
4. Kutangaza mgao wa kwanza na wa mwisho wa KSh. 4.00 kwa kila hisa, kuambatana na mwaka uliomalizika Juni 30, 2006.
5. Kuidhinisha malipo ya wakurugenzi ya mwaka uliomalizika.
6. (a) Kuchagua tena, J N Muguiyi, mkurugenzi anayestaafu, kwa mzunguko, ambaye anatimiza masharti na ameomba kuteuliwa tena.

   (b) Kuchagua tena, C J Kirubi, mkurugenzi anayestaafu, kwa mzunguko, ambaye anatimiza masharti na ameomba kuteuliwa tena.
7. Kukumbuka kuwa Deloitte & Touche, imeonyesha moyo wa kuendelea kutuhudumia, kuambatana na maelezo katika Kifungu 159(2) cha Sheria za Kampuni (Cap. 486) na kuidhinisha wakurugenzi kujiamulia malipo yao.

SHUGHULI MAALUM

8. Kujadili na ikikubaliwa, kuidhinisha azimio lifuatalo kama azimio la kawaida:

   "Kwamba kulingana na Kifungu 49(b) cha Kanuni za Kampuni, na kwa idhini ya Halmashauri ya Soko za Hisa, mtaji wa hisa ya kawaida wa kampuni ugawanywe kutoka hisa 80,000,000 za Shilingi Tano (KSh. 5.00) kwa kila hisa hadi hisa 800,000,000 za Senti Hamsini (KSh. 0.50) kila moja, huku hisa zote zikigawanywa katika sehemu sawa, na kurekebisha Sheria ya Uhusiano ya Kampuni, kuwakilisha haya."

SHUGHULI NYINGINE

9. Kuendeleza shughuli zingine zozote ambazo zinaweza kutekelezwa katika Mkutano Mkuu wa Kila Mwaka.

UKUMBUSHO

Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano huu pia ana haki ya kuteua mwakilishi kuhudhuria na kupiga kura kwa niaba yake.

KWA AGIZO LA BODI

David O Owino
Company Secretary/Katibu wa Kampuni
NAIROBI
October 31, 2006

shareholder announcements

Dividend of KSh. 4.00 Per Share

In light of the company's improved financial performance, the Board has recommended that shareholders approve a first and final dividend of KSh. 4.00 per share in respect of the financial year ended June 30, 2006.

10:1 Share Split

In accordance with Article 49(b) of the Company Articles of Association (and Section 63(1)(d) of the Companies Act), the Board is proposing via an Ordinary Resolution to divide the share capital of the company, both authorized and issued, from shares of Five Shillings (KSh. 5.00) par value each into shares of Fifty Cents (KSh. 0.50) par value each. This represents a 10 to 1 stock split, and is intended to make the company's share more affordable and liquid.

Calendar

The Board approved the following timetable for the proposed dividend and share split:

DATE	EVENT
January 4, 2007	Shareholders on the register of members at the close of business will be entitled to the declared dividend and their shares will be eligible to be split into 10 shares for every 1 held.
January 5, 2007	The share register will be closed for 1 day.
January 12, 2007	The Annual General Meeting of shareholders will be held. The Directors will seek shareholder approval for the proposed dividend and share split.
January 19, 2007	The Central Depository Settlement Corporation will upload the new shares on to member accounts in the Central Depository System. New physical certificates indicating the new par value per share will become available.
January 22, 2007	The new shares will start trading on the Nairobi Stock Exchange. Dividend payments will be dispatched to shareholders.

Share Registration

Certificates showing the new par value will be available from Funguo Registrars, Uchumi House, 18th Floor, P O Box 1133, Nairobi 00200 (Tel: 020 229 213), beginning January 22, 2007.

The Directors take this opportunity to encourage shareholders to immobilize their certificates into the Central Depository System through their stockbrokers.

PLEASE NOTE:

The announcements above are subject to approval by the Capital Markets Authority.

TOP 10 SHAREHOLDERS

		FY 2005/06		FY 2004/05	
No.	Name	Number of Shares	% Holding	Number of Shares	% Holding
1	Industrial and Commercial Development Corporation	12,930,413	24%	12,930,413	24%
2	Christopher J Kirubi	9,555,872	17%	9,415,872	17%
3	Stanbic Nominees Kenya Ltd A/C R48701	4,767,459	9%	280,448	1%
4	Kiruma International Co Ltd	3,217,909	6%	3,056,130	6%
5	International House Ltd	2,759,560	5%	3,007,560	5%
6	UAP Provincial Insurance Co Ltd	846,000	2%	5,038,305	9%
7	Old Mutual Insurance Co Ltd	593,513	1%	593,513	1%
8	Barclays (Kenya) Nominees Ltd A/C 1256	588,048	1%	-	0%
9	Barclays (Kenya) Nominees Ltd A/C 1853	576,165	1%	1,078,029	2%
10	Kenya Commercial Bank Nominees Ltd A/C 769G	309,404	1%	309,404	1%
	TOTAL	**36,144,343**	**67%**	**35,709,674**	**66%**

DISTRIBUTION OF SHAREHOLDING

	FY2005/06			FY2004/05		
	No. of Shareholders	No. of Shares held	% Holding	No. of Shareholders	No. of Shares held	% Holding
Less than 1,000	12,516	3,978,971	7%	13,640	4,438,508	8%
1,001-5,000	2,011	3,945,674	7%	2,294	4,530,945	8%
5,001-10,000	206	1,449,484	3%	249	1,752,627	3%
10,001-100,000	109	2,373,923	4%	132	2,818,373	5%
More than 100,000	21	43,247,131	79%	15	41,454,730	75%
TOTAL	**14,851**	**54,995,183**	**100%**	**16,330**	**54,995,183**	**100%**

SHARE PERFORMANCE

	FY 2005/06	FY 2004/05
High for the year	99.00	57.00
Low for the year	67.00	66.50
Shares traded		
Number of shares	2,650,382	1,339,853
Value of shares (KSh. millions)	202	82
Turnover in shares traded as a percentage of issued share capital	5%	3%
Number of Shares in issue	54,995,183	54,995,183
End of period	54,995,183	54,995,183
Weighted average	54,995,183	54,995,183

historical performance

GROUP INCOME STATEMENTS

KSh. '000	2006	2005	2004	2003	2002	2001	2000	1999	1998
Investment income	403,742	239,786	354,570	221,028	153,975	124,375	178,650	173,541	173,116
Expenses	(119,207)	(80,165)	(80,303)	(80,434)	(64,478)	(73,398)	(41,387)	(25,424)	(27,189)
Operating Profit	**284,535**	**159,621**	**274,267**	**140,594**	**89,497**	**50,977**	**137,263**	**148,117**	**145,927**
Finance costs	(29,502)	(21,241)	(6,281)	(8,172)	(10,263)	(12,269)	-	(6,906)	(9,859)
Share of profits of associate companies	450.982	245,145	71,527	70,526	228,294	188,452	205,367	215,572	158,499
Profit Before Tax	**696,489**	**373,999**	**348,451**	**202,948**	**307,528**	**227,160**	**321,767**	**356,783**	**294,567**
Profit After Tax	**606,508**	**295,234**	**241,350**	**159,149**	**247,439**	**154,334**	**227,147**	**271,982**	**230,509**
Earnings Per Share (KSh.)	**11.03**	**5.37**	**4.39**	**2.89**	**4.85**	**3.35**	**4.93**	**7.67**	**8.16**
Dividend Per Share (KSh.)	**4.00**	**3.00**	**3.00**	**2.20**	**2.00**	**2.00**	**3.00**	**2.50**	**2.50**

SUMMARY GROUP BALANCE SHEETS

	2006	2005	2004	2003	2002	2001	2000	1999	1998
Investment properties	-	250,000	250,000	239,356	159,975	325,000	380,000	380,000	380,000
Investment in associate companies	1,906,866	1,596,805	1,381,319	1,205,133	1,170,007	1,226,302	1,012,297	743,221	639,926
Unquoted investments	1,587,688	1,481,976	525,940	606,636	551,969	494,955	536,590	495,713	292,193
Quoted investments	2,532,281	1,442,340	824,710	792,462	477,635	502,621	376,602	604,179	579,406
Fixed income securities	51,539	51,530	129,982	151,713	131,688	4,500	11,634	53,423	-
Others	45,936	53,988	55,771	47,296	58,496	8,362	8,212	-	-
	6,124,310	**4,876,639**	**3,139,922**	**2,867,838**	**2,318,805**	**2,302,632**	**2,088,309**	**2,294,848**	**1,934,779**
Receivables & prepayments	282,339	143,056	24,131	52,732	41,844	54,386	92,451	118,734	28,455
Cash and cash equivalents	22,635	13,251	90,123	906	15,572	26,705	23,093	44,776	36,336
Total Assets	**6,429,284**	**5,032,946**	**3,254,176**	**2,921,476**	**2,414,780**	**2,387,723**	**2,203,853**	**2,458,358**	**1,999,570**
Share capital	274,976	274,976	274,976	274,976	274,976	230,156	191,820	188,389	141,292
Share premium & reserves	5,913,522	3,477,234	2,721,562	2,427,574	2,028,155	1,919,648	1,879,069	2,132,927	1,690,623
Shareholders' Funds	**6,188,498**	**4,691,950**	**2,996,538**	**2,702,550**	**2,303,131**	**2,149,804**	**2,070,889**	**2,321,316**	**1,831,915**
Non-current liabilities	48,604	182,198	60,496	56,926	37,791	69,901	84,268	86,344	126,872
Current liabilities	192,182	158,798	197,142	162,000	73,858	168,018	48,696	50,698	40,783
Total Equity and Liabilities	**6,429,284**	**5,032,946**	**3,254,176**	**2,921,476**	**2,414,780**	**2,387,723**	**2,203,853**	**2,458,358**	**1,999,570**

KEY PERFORMANCE RATIOS

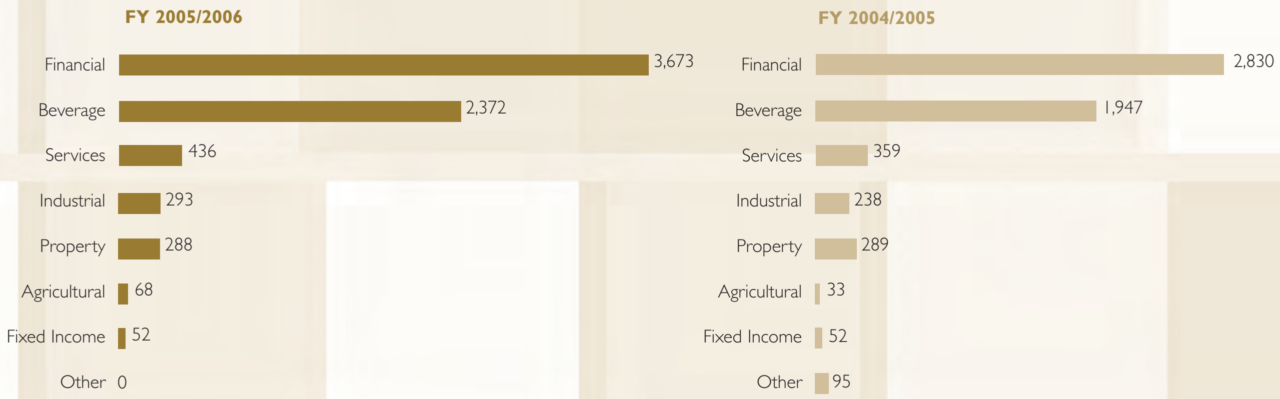
	2006	2005	2004	2003	2002	2001	2000	1999	1998
Return on assets	9%	6%	7%	5%	11%	6%	10%	11%	12%
Return on equity	10%	6%	8%	6%	11%	7%	11%	12%	13%
Cost-to-income ratio	19%	23%	24%	40%	49%	69%	23%	19%	21%
Basic earning power ratio	11%	8%	11%	7%	14%	10%	15%	15%	15%
Current ratio	1.86	1.13	0.58	0.33	1.30	0.48	2.37	3.23	1.59

INVESTOR RATIOS

	2006	2005	2004	2003	2002	2001	2000	1999	1998
Market price as at June 30 (KSh.)	99.50	66.50	67.00	51.00	19.00	47.75	49.50	48.00	39.25
Market capitalisation (KSh. '000)	5,472,003	3,657,168	3,684,665	2,804,745	969,342	2,197,980	2,278,535	1,702,272	1,109,127
Net asset value per share (KSh.)	112.53	85.32	54.50	49.14	45.14	46.70	44.99	65.46	64.83
Price-to-book ratio	0.88	0.78	1.23	1.04	0.42	1.02	1.10	0.73	0.61
P/E ratio	9.02	12.39	15.27	17.64	3.92	14.24	10.03	6.26	4.81
Dividend yield %	4.02%	4.51%	4.48%	4.31%	11.34%	4.19%	5.02%	5.53%	7.64%

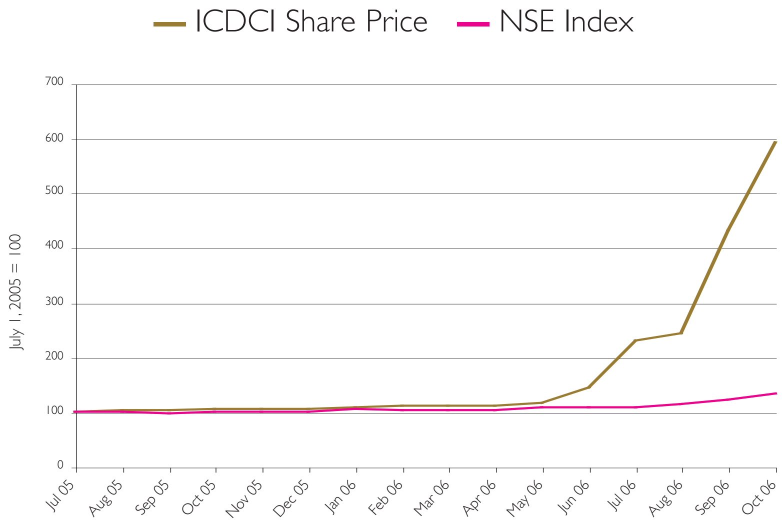
financial highlights

Portfolio Sectoral Allocation



The figures above are in thousands of Kenya Shillings.

ICDCI Share Price versus NSE 20-Share Index



shareholder notes

proxy form • fomu ya mwakilishi

I/We...

of...

being member(s) of ICDC Investment Company Limited, hereby appoint...

....

of...

or failing him/her the duly appointed Chairman of the meeting to be my/our proxy, to vote for me/us and on my/our behalf at the 39th Annual General Meeting of the Company, to be held on Friday, January 12, 2007 at 11:00am at Safari Park Hotel or at any adjournment thereof.

As witness I/We lay my/our hand(s) this...day of...2007

Signature...

Notes:

1. This proxy form is to be delivered to the Secretary's office not later than 11:00 a.m. on **Wednesday, January 10, 2007**.
2. In the case of a Corporation the proxy must be under the Common Seal or under the hand of an Officer or Attorney duly authorized.

Mimi/Sisi...

wa...

nikiwa mwanachama/wanachama wa Kampuni ya Uwekezaji ya ICDC, namteua/tunamteua...

....

wa...

na akikosekana, namteua Mwenyekiti wa mkutano kuwa mwakilishi/wawakilishi wangu, kupiga kura kwa niaba yangu/yetu, katika mkutano mkuu wa 39 wa Kila Mwaka, ambao utafanyika Ijumaa, Januari 12, 2007, saa tano asubuhi (11:00am) katika Hoteli ya Safari Park au katika tarehe yoyote, endapo utaahirishwa.

Kama ilivyoshuhudiwa natia/tunatia sahihi yangu/yetu siku hii ya...mwezi..2007

Sahihi..

Kumbuka:

1. Hii fomu ya mwakilishi inapaswa kufikishwa katika afisi ya Katibu mapema, kabla ya saa tano asubuhi (11:00am), **Jumatano, January 10, 2007**.
2. Ikiwa shirika linawakilishwa, fomu ya uwakilishi haina budi kupigwa muhuri rasmi wa shirika au iwe na sahihi rasmi ya Afisa au Wakili aliyeidhinishwa.

proxy notes • maelezo zaidi kuhusu fomu ya

1. A shareholder may insert the name of a proxy or the names of two alternative proxies of his/her choice in the space provided. The person whose name stands first on the proxy form and who is present at the annual general meeting will be entitled to act as proxy to the exclusion of those whose names follow.

2. To be effective, completed proxy forms must be lodged by not later than 11:00am on **Wednesday, January 10, 2007** at the registered office as addressed below:

The Company Secretary
ICDC Investment Company Ltd
International House, 5th Floor
Mama Ngina Street
P O Box 10518
Nairobi 00100
KENYA

1. Mwenyehisa anaweza kuandika jina la mwakilishi au majina ya wawakilishi wengine wawili katika nafasi zilizoachwa. Mtu ambaye jina lake linaandikwa kwanza katika fomu ya uwakilishi na aliye katika mkutano wa kila mwaka atakubaliwa kuwa mwakilishi na wengine watapuuzwa.

2. Ili zitiliwe maanani, fomu za mwakilishi zilizojazwa zinapaswa kutumwa mapema au kabla ya saa tano asubuhi (11:00am), **Jumatano, Januari 10, 2007**, katika afisi iliyosajiliwa kama ilivyoandikwa hapa chini:

Katibu Wa Kampuni
ICDC Investment Company Ltd
International House, 5th Floor
Mama Ngina Street
S L P 10518
Nairobi 00100
KENYA

FOLD 2
PILI KUNJA HAPA

FOLD 1
KWANZA KUNJA HAPA

AFFIX STAMP HERE

WEKA STEMPU HAPA

THE COMPANY SECRETARY,
ICDC INVESTMENT COMPANY LIMITED,

INTERNATIONAL HOUSE, 5TH FLOOR
MAMA NGINA STREET
P O Box 10518
NAIROBI 00100
KENYA

FOLD 3
HALAFU KUNJA HAPA

3. The completion and lodging of this form of proxy will not preclude the relevant ordinary shareholder from attending the annual general meeting and speaking and voting in person thereat instead of the proxy.

4. The chairman of the annual general meeting may accept or reject any proxy form which is completed and/or received other than in compliance with these notes.

5. The signatories must initial any alteration to this proxy form, other than the deletion of alternatives.

6. Where there are joint holders of ordinary shares:

   a) Any one holder may sign the proxy form; and

   b) The vote of the senior shareholder (for that purpose seniority will be determined by the order in which the names of the ordinary shareholders who tender a vote, whether in person or by proxy, appear in the company's register) will be accepted at the exclusion of the vote(s) of the other joint shareholders.

3. Kujazwa na kutumwa kwa hii fomu ya mwakilishi hakutamzuia mwenyehisa wa kawaida kuhudhuria mkutano mkuu wa kila mwaka, kutoa maoni yake na kupiga kura kibinafsi badala ya anayewakilisha.

4. Mwenyekiti wa mkutano mkuu wa kila mwaka huenda akakubali au akapuuza fomu yoyote ya mwakilishi ambayo imejazwa au/na kupokewa, bila kutimiza mashart matatu ya kwanza.

5. Wawekaji sahihi hawana budi kuweka alama katika mabadiliko yoyote yaliyo katika fomu ya mwakilishi, isipokuwa tu kufutwa kwa mahala pasipofaa.

6. Mahala ambapo wanachama wawili wenye hisa za kawaida za akaunti moja,

   a) Mmoja anaweza kutia sahihi katika fomu ya mwakilishi; na

   b) Kwamba kura ya mwenyehisa mkuu (kwa sababu hii, mwenyehisa mkuu atatambuliwa kuambatana na jinsi walivyoandikwa katika orodha ya wenyehisa wa kawaida wanavyopiga kura, wakiwa wenyewe binafsi au kwa kuwakilishwa, walivyoandikwa katika rejista ya kampuni) itakubaliwa bali za wenyehisa wengine wa akaunti hiyo zitapuuzwa.

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SASA INGIZA KARATASI HII NDANI YA MKUNJO KAMA BAHASHA

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